

AMENDED IN SENATE JUNE 29, 2024

AMENDED IN SENATE JULY 13, 2023

AMENDED IN SENATE JUNE 15, 2023

AMENDED IN ASSEMBLY MAY 18, 2023

AMENDED IN ASSEMBLY APRIL 3, 2023

CALIFORNIA LEGISLATURE—2023–24 REGULAR SESSION

ASSEMBLY BILL

No. 247

**Introduced by Assembly Members Muratsuchi, Mike Fong, and
Wilson and Senators Glazer and Newman**

**(Coauthors: Assembly Members Addis, Aguiar-Curry, Bennett,
Bryan, Calderon, Wendy Carrillo, Garcia, Gipson, Hart, Holden,
Kalra, Lee, Low, McCarty, ~~and Petrie-Norris~~ Pacheco,
Petrie-Norris, Reyes, Soria, and Wicks)**

**(Coauthors: Senators Allen, Alvarado-Gil, Ashby, Caballero, Cortese,
Dodd, Durazo, Gonzalez, Laird, Limón, Portantino, Roth, Stern,
Umberg, and Wahab)**

January 18, 2023

An act to amend Sections ~~17070.25, 17070.15, 17070.43, 17070.50,~~
17070.51, 17071.10, 17071.75, 17072.30, 17072.35, 17073.15,
17074.16, 17074.25, 17075.15, 17077.35, 17078.52, and 17078.58 of,
to add Sections 17070.42, 17070.54, 17070.59, 17070.87, 17073.16,
17074.265, ~~and 17075.20~~ 17075.20, and 17078.74 to, to add Article
10.7 (commencing with Section ~~17077.60~~) and 17077.60, Article 11.5
(commencing with Section ~~17078.40~~) 17078.35), and Article 11.7
(commencing with Section 17078.45) to Chapter 12.5 of Part 10 of
Division 1 of Title 1 of, to add Part 72 (commencing with Section
101400) to Division 14 of Title 3 of, and to repeal and add Section

17075.10 of, the Education Code, relating to education finance, by providing the funds necessary therefor through an election for the issuance and sale of bonds of the State of California and for the handling and disposition of these funds, *funds, and declaring the urgency thereof, to take effect immediately.*

LEGISLATIVE COUNSEL'S DIGEST

AB 247, as amended, Muratsuchi. Education finance: school facilities: ~~Transitional Kindergarten Through Community College Public Education Facilities~~ *Kindergarten Through Grade 12 Schools and Local Community College Public Education Facilities Modernization, Repair, and Safety Bond Act of 2024.*

(1) The California Constitution prohibits the Legislature from creating a debt or liability that singly or in the aggregate with any previous debts or liabilities exceeds the sum of \$300,000, except by an act that (1) authorizes the debt for a single object or work specified in the act, (2) has been passed by a $\frac{2}{3}$ vote of all the Members elected to each house of the Legislature, (3) has been submitted to the people at a statewide general or primary election, and (4) has received a majority of all the votes cast for and against it at that election.

This bill would set forth the ~~Transitional Kindergarten Through Community College Public Education Facilities~~ *Kindergarten Through Grade 12 Schools and Local Community College Public Education Facilities Modernization, Repair, and Safety Bond Act of 2024* as a state general obligation bond act that would provide ~~\$14,000,000,000~~ *\$10,000,000,000* to construct and modernize education facilities, *including \$8,500,000,000 for elementary and secondary educational facilities and \$1,500,000,000 for community college facilities*, as specified. This bond act would become operative only if approved by the voters at an unspecified 2024 statewide election. ~~The bill would also provide for the submission of the bond act to the voters at that election.~~ *voters.*

(2) The Leroy F. Greene School Facilities Act of 1998 provides for the adoption of rules, regulations, and procedures, under the administration of the Director of General Services, for the allocation of state funds by the State Allocation Board for the construction and modernization of public school facilities.

This bill would require ~~the Department of General Services to process all applications received under the act on and after an unspecified date~~

~~and to present those applications to the State Allocation Board within 120 days of receipt. The bill would require a school district that applies for bond funding under the act to supply designated information about the facilities at each school in the school district to the State Department of Education.~~ *a school district to submit to the Department of General Services a 5-year school facilities master plan as a condition of participating in the school facilities program under the act.* The bill would amend the methodology for calculating the local contribution a school district is required to make in order to be eligible to receive state funding under the act, as specified. *The bill would require a school district that seeks new construction or modernization funding under the act after November 5, 2024, to submit an updated report of the school district's existing school building capacity to the State Allocation Board.*

The bill would authorize the allocation of state funds under the act for the replacement of school buildings that are at least ~~50~~ 75 years old, for specified assistance to school districts with a school facility located on a military installation, as specified, and small school districts, as defined, and for the testing and remediation of lead levels in water fountains and faucets used for drinking or preparing food on schoolsites, as provided. The bill would authorize new construction and modernization grants to be used for seismic mitigation purposes, certain health and safety projects, and, among other things, to establish schoolsite-based infrastructure to provide broadband internet access. The bill would also authorize modernization grants to be used for the control, management, or abatement of lead.

The bill would increase the maximum level of total bonding capacity, as defined, that a school district could have ~~in order to~~ *and still* be eligible for financial hardship assistance under the act from \$5,000,000 to \$15,000,000. The bill, ~~commencing in the 2025–26~~ *with the 2026–27* fiscal year, would increase that \$15,000,000 maximum by a specified inflation ~~adjustment.~~ *adjustment each fiscal year.* The bill would authorize the State Allocation Board to provide assistance for purposes of procuring interim housing to school districts and county offices of education impacted by a natural disaster for which the Governor has declared a state of emergency. The bill would also make conforming changes.

The bill would make these provisions effective upon the adoption by ~~the voters of the Transitional Kindergarten Through Community College Public Education Facilities Bond Act of 2024~~ *by the voters at the*

~~unspecified 2024 statewide election. Kindergarten Through Grade 12 Schools and Local Community College Public Education Facilities Modernization, Repair, and Safety Bond Act of 2024.~~

(3) This bill would declare that it is to take effect immediately as an urgency statute.

Vote: $\frac{2}{3}$. Appropriation: no. Fiscal committee: yes.

State-mandated local program: no.

The people of the State of California do enact as follows:

1 ~~SECTION 1. Section 17070.25 of the Education Code is~~
2 ~~amended to read:~~

3 ~~17070.25. The department shall first publish applications for~~
4 ~~funding under this chapter by November 4, 1998, and shall be~~
5 ~~prepared to receive and expeditiously act upon applications on and~~
6 ~~after that date. All applications received on and after _____ under~~
7 ~~this chapter shall be processed by the department within 90 days~~
8 ~~of receipt of the application and presented to the board within 120~~
9 ~~days of receipt of the application.~~

10 ~~SECTION 1. Section 17070.15 of the Education Code is~~
11 ~~amended to read:~~

12 ~~17070.15. For purposes of this chapter, the following terms~~
13 ~~have the following meanings, unless a different meaning appears~~
14 ~~from the context:~~

15 ~~(a) "Apportionment" means a reservation an allocation of funds~~
16 ~~for the purpose of eligible new construction, modernization, or~~
17 ~~hardship approved by the board for an applicant school district.~~

18 ~~(b) "Assessed value" means the dollar value assigned to a~~
19 ~~property for purposes of measuring applicable taxes. An assessed~~
20 ~~valuation is used to determine the value of a residence for tax~~
21 ~~purposes and takes comparable sales of residential buildings and~~
22 ~~inspections into consideration.~~

23 ~~(b)~~

24 ~~(c) "Attendance area" means the geographical area serving an~~
25 ~~existing high school and those junior high schools and elementary~~
26 ~~schools included therein.~~

27 ~~(d) "Authority" means the California School Finance Authority.~~

28 ~~(e)~~

29 ~~(e) "Board" means the State Allocation Board as established by~~
30 ~~Section 15490 of the Government Code.~~

~~(d)~~

(f) “Committee” means the State School Building Finance Committee established pursuant to Section 15909.

~~(e)~~

(g) “County fund” means a county school facilities fund established pursuant to Section 17070.43.

~~(f)~~

(h) “Department” means the Department of General Services.

~~(g)~~

(i) “Fund” means the applicable 1998 State School Facilities Fund, the 2002 State School Facilities Fund, ~~or the 2004 State School Facilities Fund, established pursuant to Section 17070.40.~~ *17070.40, the 2016 State School Facilities Fund established pursuant to Section 17070.41, or the 2024 State School Facilities Fund established pursuant to Section 17070.42.*

~~(h)~~

(j) “Good repair” has the same meaning as specified in subdivision (d) of Section 17002.

(k) *“Gross bonding capacity” means a school district’s capacity to issue debt. Gross bonding capacity is calculated by multiplying the applicable school district’s total assessed value by the school district’s specified tax cap pursuant to Sections 15102, 15106, 15268, and 15270.*

~~(i)~~

(l) “Modernization” means any modification *or replacement* of a permanent structure that is at least 25 years old, or in the case of a portable classroom, that is at least 20 years old, that will enhance the ability of the structure to achieve educational purposes.

~~(j)~~

(m) “Portable classroom” means a classroom building of one or more stories that is designed and constructed to be relocatable and transportable over public streets, and with respect to a single story portable classroom, is designed and constructed for relocation without the separation of the roof or floor from the building and when measured at the most exterior walls, has a floor area not in excess of 2,000 square feet.

~~(k)~~

(n) “Property” includes all property, real, personal or mixed, tangible or intangible, or any interest therein necessary or desirable for carrying out the purposes of this chapter.

1 (o) “Small school district” means a school district with an
2 enrollment of fewer than 2,501 pupils.

3 (~~h~~)

4 (p) “School building capacity” means the capacity of a school
5 building to house pupils.

6 (~~m~~)

7 (q) “School district” means a school district or a county office
8 of education. For purposes of determining eligibility under this
9 chapter, “school district” may also mean a high school attendance
10 area.

11 SEC. 2. Section 17070.42 is added to the Education Code, to
12 read:

13 17070.42. (a) A fund is hereby established in the State
14 Treasury, to be known as the 2024 State School Facilities Fund.
15 All money in the fund, including any money deposited in the fund
16 from any source whatsoever, and notwithstanding Section 13340
17 of the Government Code, is hereby continuously appropriated
18 without regard to fiscal years for expenditure pursuant to this
19 chapter.

20 (b) The board may make apportionments in amounts not
21 exceeding those funds on deposit in the 2024 State School Facilities
22 Fund, and any amount of bonds authorized by the committee,
23 excluding any amount of refunding bonds authorized by the
24 committee in accordance with Section 101430, but not yet sold by
25 the Treasurer.

26 (c) The board may make disbursements pursuant to any
27 apportionment made from any funds in the 2024 State School
28 Facilities Fund, irrespective of whether there exists at the time of
29 the disbursement an amount in the 2024 State School Facilities
30 Fund sufficient to permit payment in full of all apportionments
31 previously made. No disbursement shall be made from any funds
32 required by law to be transferred to the General Fund.

33 SEC. 3. Section 17070.43 of the Education Code is amended
34 to read:

35 17070.43. (a) A county school facilities fund is hereby
36 established in the county treasury within each county for each
37 school district in the county.

38 (b) The board may from time to time authorize the Controller
39 to transfer any funds that the board may deem necessary from the
40 1998 State School Facilities Fund, the 2002 State School Facilities

Fund, the 2004 State School Facilities Fund, *the 2006 State School Facilities Fund*, the 2016 State School Facilities Fund, or the 2024 State School Facilities Fund, as the case may be, to the corresponding county fund in the county treasury. Interest on all funds deposited in the county fund shall be retained in that fund.

(c) Funds may be expended from the county fund by the recipient school district for qualifying school facilities expenditures set forth in Sections 17072.35 and 17074.25.

~~SEC. 4. Section 17070.50 of the Education Code is amended to read:~~

~~17070.50. (a) The board shall not apportion funds to any school district, unless the applicant school district has certified to the board that the services of any architect, structural engineer, or other design professional for any work under the project have been obtained pursuant to a competitive process that is consistent with the requirements of Chapter 10 (commencing with Section 4525) of Division 5 of Title 1 of the Government Code and has obtained the written approval of the State Department of Education that the site selection, and the building plans and specifications, comply with the standards adopted by the State Department of Education pursuant to subdivisions (b) and (c), respectively, of Section 17251.~~

~~(b) For projects funded with bonds approved by voters after January 1, 2024, an applicant shall submit the following information to the State Department of Education once for each school in the school district:~~

~~(1) The year each building at the school that is currently used for instructional purposes was constructed.~~

~~(2) The square footage of each building that is currently used for instructional purposes.~~

~~(3) The year, if any, each building that is currently used for instructional purposes was last modernized.~~

~~(4) The pupil capacity of the school.~~

~~(5) The age and number of portable buildings at the school.~~

~~(6) Whether the school has any of the following:~~

~~(A) A cafeteria or multipurpose room.~~

~~(B) A library.~~

~~(C) A gymnasium.~~

~~SEC. 5.~~

~~SEC. 4. Section 17070.51 of the Education Code is amended to read:~~

1 17070.51. (a) If any certified eligibility or funding application
2 related information is found to have been falsely certified by school
3 districts, architects, or design professionals, hereinafter referred
4 to as a material inaccuracy, the Office of Public School
5 Construction shall notify the board.

6 (b) The board shall impose the following penalties if an
7 apportionment and fund release has been made based upon
8 information in the project application or related materials that
9 constitutes a material inaccuracy.

10 (1) Pursuant to a repayment schedule that is approved by the
11 board of no more than five years, the school district shall repay to
12 the board, for deposit into the 1998 State School Facilities Fund,
13 the 2002 State School Facilities Fund, the 2004 State School
14 Facilities Fund, or the 2024 State School Facilities Fund, as the
15 case may be, an amount proportionate to the additional funding
16 received as a result of the material inaccuracy including interest
17 at the rate paid on moneys in the Pooled Money Investment
18 Account or at the highest rate of interest for the most recent issue
19 of state general obligation bonds as established pursuant to Chapter
20 4 (commencing with Section ~~16720~~; 16720) of Part 3 of Division
21 4 of Title 2 of the Government Code, whichever is greater.

22 (2) The board shall prohibit the school district from
23 self-certifying certain project information for any subsequent
24 applications for project funding for a period of up to five years
25 following the date of the finding of a material inaccuracy or until
26 the district's repayment of the entire amount owed under paragraph
27 (1). Although a school district that is subject to this paragraph may
28 not self-certify, the school district shall not be prohibited from
29 applying for state funding under this chapter. The board shall
30 establish an alternative method for state or independent certification
31 of compliance that shall be applicable in these cases. The process
32 shall include, but shall not be limited to, procedures for payment
33 by the school district of any increased costs associated with the
34 alternative certification process.

35 (c) For school districts found to have provided material
36 inaccuracies when a funding apportionment has occurred, but no
37 fund release has been made, the board shall direct its staff to reduce
38 the apportionment as necessary to reflect the actual nature of the
39 project and to disregard the inaccurate information or material,
40 and paragraph (2) of subdivision (b) shall apply.

(d) For those school districts found to have provided material inaccuracies when no funding apportionment or fund release has been made, the inaccurate information or materials shall not be considered, and paragraph (2) of subdivision (b) applies. The project may continue if the application, minus the inaccurate materials, is still complete.

SEC. 5. Section 17070.54 is added to the Education Code, to read:

17070.54. (a) As a condition of participating in the school facilities program, a school district shall submit to the department a five-year school facilities master plan, or updated five-year school facilities master plan, approved by the governing board of the school district.

(b) The school facilities master plan submitted pursuant to subdivision (a) shall include information on the school district's eligibility for state bond funding pursuant to this chapter.

(c) The school facilities master plan shall include, but is not limited to, all of the following information:

(1) An inventory of existing facilities, sites, and property pursuant to subdivision (d).

(2) Existing classroom capacity, as determined pursuant to Sections 17071.10 and 17071.25.

(3) Projected enrollment growth for the applicable school district over the next five years, accounting for growth pursuant to Sections 17071.75 and 17071.76.

(4) A capital planning budget outlining the applicable school district's projects.

(5) The financing and other funding sources that would be used to support the acquisition of the applicable schoolsite, new construction project, modernization project, and lead testing and remediation projects.

(6) Verification of the applicable school district's current assessed value from the appropriate local government entity that collects and maintains this information.

(7) The school district's deferred maintenance plan certified pursuant to Section 17070.75.

(8) A narrative describing how the school facilities master plan is consistent with the goals, actions, and services identified in the school district's local control and accountability plan for the first

1 state priority, as described in paragraph (1) of subdivision (d) of
2 Section 52060, as it relates to school facilities.

3 (d) The department, in consultation with the State Department
4 of Education, shall develop guidelines that school districts may
5 use to guide the development of the school facilities master plan
6 required as a condition of participating in the school facilities
7 program. The department, in consultation with the State
8 Department of Education, shall develop guidelines or standards
9 that school districts shall use to develop and submit the inventory
10 required pursuant to paragraph (1) of subdivision (c) for every
11 school in the school district, including, but not limited to, all of
12 the following:

13 (1) The year each building at the school that is currently used
14 for instructional purposes was constructed.

15 (2) The square footage of each building that is currently used
16 for instructional purposes.

17 (3) The year, if any, each building that is currently used for
18 instructional purposes was last modernized.

19 (4) The pupil capacity of the school.

20 (5) The age and number of portable buildings at the school.

21 (6) Whether the school has any of the following:

22 (A) A cafeteria or multipurpose room.

23 (B) A library.

24 (C) A gymnasium.

25 (e) The Controller shall include the instructions necessary to
26 verify that all of the required components of this section are
27 reflected in a participating school district's school facilities master
28 plan in the audit guide required by Section 14502.1, as part of the
29 audit procedures required pursuant to Section 41024.

30 (f) The school district shall update its school facilities master
31 plan to reflect any changes in enrollment, capacity, or other areas,
32 as appropriate for purposes of participating in the school facilities
33 program.

34 SEC. 6. Section 17070.59 is added to the Education Code, to
35 read:

36 17070.59. For purposes of determining the points used to
37 compute the ~~adjustments~~ *required matching funds from local*
38 *sources* applied pursuant to Sections 17072.30 and 17074.16, the
39 department shall compute the sum of the following point
40 computations applicable to each school district:

1 (a) For each school district, the department shall divide the
2 district's gross bonding capacity by the district's total enrollment,
3 as determined for purposes of this chapter.

4 (1) A school district determined to have a gross bonding capacity
5 per enrollment of zero dollars (\$0) to nine thousand nine hundred
6 ninety-nine dollars (\$9,999), inclusive, shall receive four points.

7 (2) A school district determined to have a gross bonding capacity
8 per enrollment of ten thousand dollars (\$10,000) to nineteen
9 thousand nine hundred ninety-nine dollars (\$19,999), inclusive,
10 shall receive three points.

11 (3) A school district determined to have a gross bonding capacity
12 per enrollment of twenty thousand dollars (\$20,000) to fifty-four
13 thousand nine hundred ninety-nine dollars (\$54,999), inclusive,
14 shall receive two points.

15 (4) A school district determined to have a gross bonding capacity
16 per enrollment of ~~more than~~ fifty-five thousand dollars (\$55,000)
17 *or more* shall receive one point.

18 (b) (1) For each school district, the department shall identify
19 each district's unduplicated pupil percentage as determined for
20 purposes of the local control funding formula pursuant to Section
21 42238.02.

22 (2) (A) A school district determined to have an unduplicated
23 pupil percentage of between 75 percent and 100 percent shall
24 receive eight points.

25 (B) A school district determined to have an unduplicated pupil
26 percentage of between 50 percent and 74.99 percent shall receive
27 six points.

28 (C) A school district determined to have an unduplicated pupil
29 percentage of between 25 percent and 49.99 percent shall receive
30 four points.

31 (D) A school district determined to have an unduplicated pupil
32 percentage that is 24.99 percent or less shall receive two points.

33 (c) A school district that has a pupil enrollment of 200 pupils
34 or fewer shall receive ~~one point~~ *two points*.

35 (d) (1) *A school district project that includes the use of a project*
36 *labor agreement shall receive two points.*

37 (2) *For purposes of this subdivision, "project labor agreement"*
38 *has the same meaning as defined in paragraph (1) of subdivision*
39 *(b) of Section 2500 of the Public Contract Code.*

40 (d)

(e) The department shall draft regulations for consideration by the board to further clarify the requirements of this section.

SEC. 7. Section 17070.87 is added to the Education Code, to read:

17070.87. New construction and modernization applications submitted before October 31, 2024, shall be processed and apportioned in accordance with this chapter, as it read on January 1, 2024.

SEC. 8. Section 17071.10 of the Education Code is amended to read:

17071.10. (a) The calculation determined by this article shall be made on a one-time basis, and will be used as the baseline for eligibility determinations pursuant to this chapter.

(b) (1) Each school district that elects to participate in the new construction program pursuant to this chapter shall submit to the board a one-time report of existing school building capacity.

(2) *The information reflected in the report described in paragraph (1) shall be included in a school facilities master plan submitted pursuant to Section 17070.54.*

(c) Notwithstanding subdivisions (a) and (b), a school district newly ~~formed~~, *formed*, reorganized, or affected by reorganization, pursuant to an election that occurred on or after November 4, 1998, shall calculate or recalculate its existing school building capacity pursuant to regulations adopted by the ~~State Allocation Board~~ board.

(d) *Notwithstanding subdivisions (a), (b), and (c), a school district that elects to participate in the new construction program or modernization program pursuant to this chapter after November 5, 2024, shall submit an updated report of the school district's existing school building capacity to the board.*

~~SEC. 7.~~

SEC. 9. Section 17071.75 of the Education Code is amended to read:

17071.75. After a one-time initial report of existing school building capacity has been completed, the ongoing eligibility of a school district for new construction funding shall be determined by making all of the following calculations:

(a) A school district that applies to receive funding for new construction shall use the following methods to determine projected enrollment:

(1) A school district that has two or more schoolsites each with a pupil population density that is greater than 115 pupils per acre in kindergarten and grades 1 to 6, inclusive, or a schoolsite pupil population density that is greater than 90 pupils per acre in grades 7 to 12, inclusive, as determined by the Superintendent using enrollment data from the California Basic Educational Data System for the 2004–05 school year, may submit an application for funding for projects that will relieve overcrowded conditions. That school district may also submit an alternative enrollment projection for the fifth year beyond the fiscal year in which the application is made using a methodology other than the cohort survival enrollment projection method, as defined by the board pursuant to paragraph (2), to be reviewed by the Demographic Research Unit of the Department of Finance, in consultation with the department and the Office of Public School Construction. If the Office of Public School Construction and the Demographic Research Unit of the Department of Finance jointly determine that the alternative enrollment projection provides a reasonable estimate of expected enrollment demand, a recommendation shall be forwarded to the board to approve or disapprove the application, in accordance with all of the following:

(A) Total funding for new construction projects using this method shall be limited to five hundred million dollars (\$500,000,000), from the Kindergarten-University Public Education Facilities Bond Act of 2004.

(B) The eligibility amount for proposed projects that relieve overcrowding is the difference between the alternative enrollment projection method for the year the application is submitted and the cohort survival enrollment projection method, as defined by the board pursuant to paragraph (2), for the same year, adjusted by the existing pupil capacity in excess of the projected enrollment according to the cohort survival enrollment projection method.

(C) The Office of Public School Construction shall determine whether each proposed project will relieve overcrowding, including, but not limited to, the elimination of the use of Concept 6 calendars, four track year-round calendars, or busing in excess of 40 minutes, and recommend approval to the board. The number of unhoused pupil grants requested in the application for funding from the eligibility determined pursuant to this paragraph shall be limited to the number of seats necessary to relieve overcrowding,

1 including, but not limited to, the elimination of the use of Concept
2 6 calendars, four track year-round calendars, or busing in excess
3 of 40 minutes, less the number of unhoused pupil grants attributed
4 to that school as a source school in an approved application
5 pursuant to Section 17078.24.

6 (D) A school district shall use the same alternative enrollment
7 projection methodology for all applications submitted pursuant to
8 this paragraph and shall calculate those projections in accordance
9 with the same districtwide or high school attendance area used for
10 the enrollment projection made pursuant to paragraph (2).

11 (2) A school district shall calculate enrollment projections for
12 the fifth year beyond the fiscal year in which the application is
13 made. Projected enrollment shall be determined by using the cohort
14 survival enrollment projection system, as defined and approved
15 by the board. The board may supplement the cohort survival
16 enrollment projection with any of the following:

17 (A) The number of unhoused pupils that are anticipated as a
18 result of dwelling units proposed pursuant to approved and valid
19 tentative subdivision maps.

20 (B) Modified weighting mechanisms, if the board determines
21 that they best represent the enrollment trends of the district.
22 Mechanisms pursuant to this subparagraph shall be developed and
23 applied in consultation with the Demographic Research Unit of
24 the Department of Finance.

25 (C) An adjustment to reflect the effects on kindergarten and
26 first grade enrollment of changes in birth rates within the school
27 district or high school attendance area boundaries.

28 (3) (A) A school district may submit an enrollment projection
29 for either a 5th year or a 10th year beyond the fiscal year in which
30 the application is made. A school district that bases its enrollment
31 projection calculation on a high school attendance area may use
32 pupil residence in that attendance area to calculate enrollment. A
33 school district that uses pupil residence shall do so for all high
34 school attendance areas within the district. A pupil shall not be
35 included in a high school attendance area enrollment projection
36 based on pupil residence unless that pupil was included in the
37 California Basic Educational Data System (CBEDS) report of the
38 district for the same enrollment year. The board may require a
39 district to provide a reconciliation of the districtwide CBEDS and
40 residency data. The board also may adopt regulations to specify

1 the format and certification requirements for a school district that
2 submits residency data.

3 (b) (1) Add the number of pupils that may be adequately housed
4 in the existing school building capacity of the applicant school
5 district as determined pursuant to Article 2 (commencing with
6 Section 17071.10) to the number of pupils for whom facilities were
7 provided from any state or local funding source after the existing
8 school building capacity was determined pursuant to Article 2
9 (commencing with Section 17071.10). For this purpose, the total
10 number of pupils for whom facilities were provided shall be
11 determined using the pupil loading formula set forth in Section
12 17071.25.

13 (2) Subtract from the number of pupils calculated in paragraph
14 (1) the number of pupils that were housed in facilities to which
15 the school district or county office of education relinquished title
16 as the result of a transfer of a special education program between
17 a school district and a county office of education or special
18 education local plan area, if applicable. For this purpose, the total
19 number of pupils that were housed in the facilities to which title
20 was relinquished shall be determined using the pupil loading
21 formula adopted by the board pursuant to subparagraph (B) of
22 paragraph (2) of subdivision (a) of Section 17071.25. For purposes
23 of this paragraph, title also includes any lease interest with a
24 duration of greater than five years.

25 (c) Subtract the number of pupils pursuant to subdivision (b)
26 from the number of pupils determined pursuant to paragraph (2)
27 of subdivision (a).

28 (d) The calculations required to establish eligibility under this
29 article shall result in a distinction between the number of existing
30 unhoused pupils and the number of projected unhoused pupils.

31 (e) Apply the increase or decrease resulting from the difference
32 between the most recent report made pursuant to former Section
33 42268, as that section read on June 30, 2013, and the report used
34 in determining the baseline capacity of the school district pursuant
35 to subdivision (a) of Section 17071.25.

36 (f) For purposes of calculating projected enrollment pursuant
37 to subdivision (a), the board may adopt regulations to ensure that
38 the enrollment calculation of individuals with exceptional needs
39 receiving special education services is adjusted in the enrollment
40 reporting period in which the transfer occurs and three previous

1 school years as a result of a transfer of a special education program
2 between a school district and a county office of education or a
3 special education local plan area. However, the projected
4 enrollment calculation of a county office of education shall only
5 be adjusted if a transfer of title for the special education program
6 facilities has occurred. The regulations, if adopted, shall ensure
7 that if a transfer of title to special education program facilities
8 constructed with state funds occurs within 10 years after initial
9 occupancy of the facility, the receiving school district or school
10 districts shall remit to the state a proportionate share of any
11 financial hardship assistance provided for the project pursuant to
12 Section 17075.10, if applicable.

13 (g) For a school district with an enrollment of 2,500 or fewer,
14 an adjustment in enrollment projections shall not result in a loss
15 of ongoing eligibility to that school district for a period of five
16 years from the date of the approval of eligibility by the board.

17 ~~SEC. 8.~~

18 *SEC. 10.* Section 17072.30 of the Education Code is amended
19 to read:

20 17072.30. (a) Subject to the availability of funds, the board
21 shall apportion funds to an eligible school district only upon the
22 approval of the project by the Department of General Services
23 pursuant to the Field Act, as defined in Section 17281, and
24 certification by the school district that the required ~~50 percent~~
25 matching funds from local sources have been expended by the
26 district for the project, or have been deposited in the county fund,
27 or will be expended by the district by the time the project is
28 completed, in an amount at least equal to the proposed
29 apportionment pursuant to this chapter, before release of the state
30 funds.

31 (b) The board shall adjust a school district's required local
32 contribution pursuant to this section and the school district's
33 associated state contribution required pursuant to Article 4
34 (commencing with Section 17072.10), as follows:

35 (1) For a school district determined to have a score of ~~between~~
36 ~~11 and 13~~ *more than 10* points pursuant to Section 17070.59, the
37 school district's required local matching funds pursuant to
38 subdivision (a) shall be ~~reduced to~~ 45 percent and the associated
39 state contribution pursuant to Article 4 (commencing with Section
40 17072.10) shall be ~~increased to~~ 55 percent.

(2) For a school district determined to have a score of ~~between 9 and 9~~ or 10 points pursuant to Section 17070.59, the school district's required local matching funds pursuant to subdivision (a) shall be ~~reduced to~~ 47 percent and the associated state contribution pursuant to Article 4 (commencing with Section 17072.10) shall be ~~increased to~~ 53 percent.

(3) For a school district determined to have a score of eight points pursuant to Section 17070.59, the school district's required local matching funds pursuant to subdivision (a) shall be ~~reduced to~~ 48 percent and the associated state contribution pursuant to Article 4 (commencing with Section 17072.10) shall be ~~increased to~~ 52 percent.

(4) For a school district determined to have a score of ~~between six and six~~ or seven points pursuant to Section 17070.59, the school district's required local matching funds pursuant to subdivision (a) shall be ~~reduced to~~ 49 percent and the associated state contribution pursuant to Article 4 (commencing with Section 17072.10) shall be ~~increased to~~ 51 percent.

(5) For a school district determined to have a score of less than six points pursuant to Section 17070.59, the required local matching funds pursuant to subdivision (a) *shall be 50 percent* and the associated state contribution pursuant to Article 4 (commencing with Section 17072.10) shall ~~not be adjusted pursuant to this subdivision.~~ *be 50 percent.*

~~SEC. 9.~~

SEC. 11. Section 17072.35 of the Education Code is amended to read:

17072.35. (a) A grant for new construction may be used for any and all costs necessary to adequately house new pupils in any approved project, and those costs may only include the cost of design, engineering, testing, inspection, plan checking, construction management, site acquisition and development, evaluation and response action costs relating to hazardous substances at a new or existing schoolsite, demolition, construction, acquisition and installation of portable classrooms, landscaping, necessary utility costs, utility connections and other fees, equipment including telecommunication equipment to increase school security, furnishings, and the upgrading of electrical systems or the wiring or cabling of classrooms in order to accommodate educational technology, including schoolsite-based infrastructure necessary to

1 provide access to broadband internet within the schoolsite. A grant
2 for new construction may also be used to acquire an existing
3 government or privately owned building, or a privately financed
4 school building, and for the necessary costs of converting the
5 government or privately owned building for public school use. A
6 grant for new construction may also be used for the costs of designs
7 and materials that promote the efficient use of energy and water,
8 the maximum use of natural lighting and indoor air quality, the
9 use of recycled materials and materials that emit a minimum of
10 toxic substances, the use of acoustics conducive to teaching and
11 learning, and other characteristics of high performance schools. *A*
12 *grant for new construction may be used for the costs of design,*
13 *materials, and construction to advance state energy goals pursuant*
14 *to state law, support outdoor learning environments, or to directly*
15 *shade and protect pupils from higher average temperatures, which*
16 *may include incorporating nature and natural materials.* A grant
17 for new construction may be used for seismic mitigation purposes
18 and for related design, study, and testing costs.

19 (b) This section does not preclude a school district from using
20 a grant for new construction to support the construction of a school
21 kitchen, a transitional kindergarten classroom, a facility to support
22 a local educational agency-administered preschool program,
23 including, but not limited to, a California state preschool program
24 set forth in Article 2 (commencing with Section 8207) of Chapter
25 2 of Part 6, that is operated by a school district and located on a
26 schoolsite operated by the district, or a facility to support school
27 nurses and counselors to increase access to health care and mental
28 health services.

29 (c) In developing guidelines and regulations for consideration
30 by the board, the State Department of Education shall provide a
31 school district with maximum flexibility in the design and new
32 construction of school facilities.

33 ~~SEC. 10.~~

34 SEC. 12. Section 17073.15 of the Education Code is amended
35 to read:

36 17073.15. (a) A school district is eligible to receive an
37 apportionment for the modernization of a permanent school
38 building that is more than 25 years old or a portable classroom
39 that is at least 20 years old. A school district is eligible to receive
40 an additional apportionment for the modernization of a permanent

1 school building every 25 years after the date of the previous
2 apportionment or a portable classroom every 20 years after the
3 previous apportionment.

4 (b) (1) Notwithstanding subdivision (a), a school district that
5 has a school facility located on a military installation that is the
6 recipient of a federal grant for facilities modernization that requires
7 a local matching share is eligible to receive an apportionment for
8 the modernization of a permanent or portable building that is at
9 least 10 years old, or is at least 10 years old after the date of the
10 previous modernization apportionment under this chapter.

11 (2) Portable buildings modernized pursuant to paragraph (1)
12 shall be replaced with a permanent structure.

13 ~~SEC. 11.~~

14 *SEC. 13.* Section 17073.16 is added to the Education Code, to
15 read:

16 17073.16. (a) A school district eligible for funding pursuant
17 to this article may receive a supplemental grant for either of the
18 following:

19 (1) Expanding an existing gymnasium, multipurpose room,
20 library, or school kitchen, if the facility is 60 percent or less than
21 the department's recommended size needed to serve the enrollment
22 of the school.

23 (2) Constructing a new gymnasium, multipurpose room, library,
24 or school kitchen if the site is lacking one or more of the specified
25 facilities.

26 (b) A site may receive a supplemental grant for only one project
27 described in subdivision (a).

28 (c) (1) *A school district eligible for a modernization*
29 *apportionment may also receive a supplemental grant for either*
30 *of the following:*

31 (A) *Retrofitting an existing school facility to adequately house*
32 *transitional kindergarten pupils.*

33 (B) *Constructing new transitional kindergarten classrooms if*
34 *the site is lacking sufficient school facilities to house transitional*
35 *kindergarten pupils.*

36 (2) *A school district that receives a supplemental grant to house*
37 *transitional kindergarten pupils pursuant to paragraph (1) shall*
38 *meet the requirements of subparagraphs (A) and (B) of paragraph*
39 *(5) of subdivision (b) of, paragraphs (2) and (3) of subdivision (f)*
40 *of, and subdivision (g) of, Section 17375.*

1 ~~(c)~~

2 ~~(d)~~ The funding provided under this section shall be in addition
3 to any other funding provided pursuant to this article.

4 ~~(d)~~

5 ~~(e)~~ The board, in consultation with the Superintendent, shall
6 develop regulations implementing this section.

7 ~~SEC. 12.~~

8 ~~SEC. 14.~~ Section 17074.16 of the Education Code is amended
9 to read:

10 17074.16. (a) The board shall release disbursements to school
11 districts with approved applications for modernization, to the extent
12 state funds are available for the state's ~~60-percent~~ share, and the
13 school district has provided its ~~40-percent~~ *required* local match.
14 Subject to the availability of funds, the board shall apportion funds
15 to an eligible school district only upon the approval of the project
16 by the Department of General Services pursuant to the Field Act,
17 as defined in Section 17281, including, but not limited to, a project
18 that complies with the Field Act by complying with Section
19 17280.5, and evidence that the certification by the school district
20 that the required ~~40-percent~~ matching funds from local sources
21 have been expended by the district for the project, or have been
22 deposited in the county fund or will be expended by the district
23 by the time of completion of the project, and evidence that the
24 district has entered into a binding contract for the completion of
25 that project. If state funds are insufficient to fund all qualifying
26 school districts, the board shall fund all qualifying school districts
27 in the order in which the application for funding was approved by
28 the board.

29 (b) The board shall adjust a school district's required local
30 contribution pursuant to this section and the school district's
31 associated state contribution required pursuant to this article as
32 follows:

33 (1) For a school district determined to have a score of ~~between~~
34 ~~11 and 13~~ *more than 10* points pursuant to Section 17070.59, the
35 school district's required local matching funds pursuant to
36 subdivision (a) shall be ~~reduced to~~ 35 percent and the associated
37 state contribution pursuant to this article shall be ~~increased to~~ 65
38 percent.

39 (2) For a school district determined to have a score of ~~between~~
40 ~~9 and 9~~ *9 or 10* points pursuant to Section 17070.59, the school

district's required local matching funds pursuant to subdivision (a) shall be ~~reduced to~~ 37 percent and the associated state contribution pursuant to this article shall be ~~increased to~~ 63 percent.

(3) For a school district determined to have a score of eight points pursuant to Section 17070.59, the school district's required local matching funds pursuant to subdivision (a) shall be ~~reduced to~~ 38 percent and the associated state contribution pursuant to this article shall be ~~increased to~~ 62 percent.

(4) For a school district determined to have a score of ~~between six and six~~ or seven points pursuant to Section 17070.59, the school district's required local matching funds pursuant to subdivision (a) shall be ~~reduced to~~ 39 percent and the associated state contribution pursuant to this article shall be ~~increased to~~ 61 percent.

(5) For a school district determined to have a score of less than six points pursuant to Section 17070.59, the required local matching funds pursuant to subdivision (a) *shall be 40 percent* and the associated state contribution pursuant to this article shall ~~not be adjusted pursuant to this subdivision.~~ *be 60 percent.*

~~(c) This section shall apply only to an application that was filed after April 29, 2002.~~

~~SEC. 13.~~

SEC. 15. Section 17074.25 of the Education Code is amended to read:

17074.25. (a) (1) A modernization apportionment may be used for an improvement to extend the useful life of, or to enhance the physical environment of, the school. The improvement may only include the cost of design, engineering, testing, inspection, plan checking, construction management, demolition, construction, the replacement of portable classrooms, necessary utility costs, utility connection and other fees, the purchase and installation of air-conditioning equipment and insulation materials and related costs, furniture and equipment, including telecommunication equipment to increase school security, fire safety improvements, playground safety improvements, the identification, assessment, or abatement of hazardous asbestos, seismic safety improvements, and the upgrading of electrical systems or the wiring or cabling of classrooms in order to accommodate educational technology, including schoolsite-based infrastructure necessary to provide access to broadband internet within the schoolsite. *A modernization apportionment may be used for the costs of design, materials,*

1 *demolition, and construction to advance state energy goals*
2 *pursuant to state law, support outdoor learning environments, or*
3 *to directly shade and protect pupils from higher average*
4 *temperatures, which may include incorporating nature and natural*
5 *materials. A modernization grant may not be used for costs*
6 *associated with acquisition and development of real property or*
7 *for routine maintenance and repair.*

8 (2) A modernization apportionment may also be used for any
9 of the following:

10 (A) The cost of designs and materials that promote the efficient
11 use of energy and water, the maximum use of natural lighting and
12 indoor air quality, the use of recycled materials and materials that
13 emit a minimum of toxic substances, the use of acoustics conducive
14 to teaching and learning, and other characteristics of
15 high-performance schools.

16 (B) Seismic mitigation purposes and related design, study, and
17 testing costs.

18 (C) To remediate any water outlet used for drinking or preparing
19 food with lead levels in excess of 15 parts per billion.

20 (D) The control, management, or abatement of lead.

21 (b) This section shall not preclude a school district from using
22 a grant for modernization to support the modernization of a school
23 kitchen, a transitional kindergarten classroom, a facility to support
24 a local educational agency-administered preschool program,
25 including, but not limited to, a California state preschool program
26 set forth in Article 2 (commencing with Section 8207) of Chapter
27 2 of Part 6, that is operated by a school district and located on a
28 schoolsite operated by the district, or a facility to support school
29 nurses and counselors to increase access to health care and mental
30 health services.

31 (c) (1) A modernization apportionment may be used to limit
32 pupil exposure to harmful air pollutants by updating air filtration
33 systems.

34 (2) (A) This subdivision is declaratory of existing law.

35 (B) It is the intent of the Legislature in enacting Chapter 714 of
36 the Statutes of 2018 (Assembly Bill 2453 of the 2017–18 Regular
37 Session) to encourage school districts to add air filtration systems
38 to applications for modernization apportionments when air
39 pollution occasionally or regularly exceeds levels known to be
40 harmful to public health.

(d) Notwithstanding any other provision of this article, a school district that is apportioned funds pursuant to Section 17073.16 shall use the supplemental grant for expanding an existing, or constructing a new, gymnasium, multipurpose room, library, or school kitchen.

(e) In developing guidelines and regulations for consideration by the board, the department, in consultation with the State Department of Education, shall provide a school district with maximum flexibility in the design and modernization of school facilities.

~~SEC. 14.~~

SEC. 16. Section 17074.265 is added to the Education Code, immediately following Section 17074.26, to read:

17074.265. (a) Notwithstanding Article 6 (commencing with Section 17073.10), a school district shall be eligible to receive a modernization apportionment to demolish and construct a building or buildings on an existing schoolsite if both of the following conditions are met:

(1) The building or buildings to be replaced are at least ~~50~~ 75 years old.

(2) The school district provides a cost-benefit analysis that indicates the total cost to modernize the building or buildings is at least 50 percent of the current replacement cost, as defined by the board, of the building or buildings. The cost-benefit analysis may include applicable site development costs.

(b) A project that meets the requirements of subdivision (a) shall be eligible for a grant equal to the grant provided under Section 17072.10 multiplied by the capacity of the building or buildings calculated pursuant to Section 17071.25.

(c) The board may adopt regulations to implement this section.

~~SEC. 15.~~

SEC. 17. Section 17075.10 of the Education Code is repealed.

~~SEC. 16.~~

SEC. 18. Section 17075.10 is added to the Education Code, to read:

17075.10. (a) (1) For health and safety projects for school facilities that are determined by the department to pose an unacceptable risk of injury to occupants in the event of a seismic event, a school district shall demonstrate both of the following to the satisfaction of the board:

1 (A) That due to unusual circumstances that are beyond the
2 control of the school district, excessive costs need to be incurred
3 in the construction of school facilities.

4 (B) That the facilities are needed to ensure the health and safety
5 of pupils if the health and safety of pupils is at risk.

6 (2) For purposes of paragraph (1), health and safety projects
7 include projects to replace the most vulnerable school facilities
8 that are identified as a Category 2 building, as defined in the report
9 submitted pursuant to Section 17317.

10 (b) (1) A school district is eligible for health and safety funding
11 to replace, reconstruct, or construct new classrooms and related
12 facilities if the school district demonstrates there is a threat to the
13 health and safety of pupils. To determine the applicable grant
14 amounts, the district shall prepare and submit to the department a
15 cost-benefit analysis that compares the minimum cost to remain
16 in the classroom or related facility and mitigate the health and
17 safety problem with the current replacement cost.

18 (2) The project qualifies for modernization funding if the
19 minimum cost is less than 50 percent of the current replacement
20 cost of the classroom or related facility.

21 (3) The project qualifies for replacement facilities if the
22 cost-benefit analysis prepared pursuant to paragraph (1)
23 demonstrates that the cost to remain in the classroom or related
24 facility and mitigate the problem is at least 50 percent of the
25 replacement value.

26 (c) The department shall develop regulations to define eligible
27 health and safety projects that meet the requirements of
28 subdivisions (a) and (b) for purposes of project approval by the
29 board.

30 ~~SEC. 17.~~

31 *SEC. 19.* Section 17075.15 of the Education Code is amended
32 to read:

33 17075.15. (a) From funds available from any bond act for the
34 purpose of funding facilities for school districts with a financial
35 hardship, the board may provide other construction, modernization,
36 or relocation assistance as set forth in this chapter or Chapter 14
37 (commencing with Section 17085) to the extent that severe
38 circumstances may require, and may adjust or defer the local
39 financial participation, as pupil health and safety considerations

1 require to the extent that bond act funds are provided for this
2 purpose.

3 (b) The board shall adopt regulations for determining the amount
4 of funding that may be provided to a district, and the eligibility
5 and prioritization of funding, under this article.

6 (c) The regulations shall define the amount, and sources, of
7 financing that the school district could reasonably provide for
8 school facilities as follows:

9 (1) Unencumbered funds available in all facility accounts in the
10 school district, including, but not limited to, fees on development,
11 redevelopment funds, sale proceeds from surplus property, funds
12 generated by certificates of participation for facility purposes, bond
13 funds, federal grants, and other funds available for school facilities,
14 as the board may determine.

15 (2) The board may exclude from consideration all funds
16 encumbered for a specific capital outlay purpose, a reasonable
17 amount for interim housing, and other funds that the board may
18 find are not reasonably available for the project.

19 (d) The regulations shall also specify a method for determining
20 required levels of local effort to obtain matching funds. The
21 regulations shall include consideration of at least all of the
22 following factors:

23 (1) Whether the school district has passed a bond measure within
24 the two-year period immediately preceding the application for
25 funding under this article, the proceeds of which are substantially
26 available for use in the project to be funded under this chapter, but
27 remains unable to provide the necessary matching share
28 requirement.

29 (2) Whether the principal amount of the current outstanding
30 bonded indebtedness issued for the purpose of constructing school
31 facilities for the school district and secured by property within the
32 school district or by revenues of, or available to, the school district,
33 which shall include general obligation bonds, Mello-Roos bonds,
34 school facility improvement district bonds, certificates of
35 participation, and other debt instruments issued for the purpose of
36 constructing school facilities for the school district and for which
37 owners of property within the school district or the school district
38 are paying debt service is at least 60 percent of the school district's
39 total bonding capacity, as determined by the board.

1 (3) (A) Whether the total bonding capacity, as defined in
2 Section 15102 or 15106, as applicable, is fifteen million dollars
3 (\$15,000,000) or less, in which case, the school district shall be
4 deemed eligible for financial hardship.

5 (B) Commencing with the ~~2025–26~~ 2026–27 fiscal year, the
6 amount described in subparagraph (A) shall be adjusted *each fiscal*
7 *year* by the inflation adjustment computed pursuant to paragraph
8 (2) of subdivision (d) of Section 42238.02.

9 (4) Whether the application for funding under this article is from
10 a county superintendent of schools.

11 (5) Whether the school district submits other evidence of
12 substantial local effort acceptable to the board.

13 (6) The value of any unused local general obligation debt
14 capacity, and developer fees added to the needs analysis to reflect
15 the district's financial hardship, available for the purposes of school
16 facilities financing.

17 ~~SEC. 18.~~

18 *SEC. 20.* Section 17075.20 is added to the Education Code,
19 immediately following Section 17075.15, to read:

20 17075.20. (a) Notwithstanding any other law, the board may
21 provide assistance under this chapter for purposes of procuring
22 interim housing, including, but not limited to, the leasing or
23 acquisition of portable classrooms and any work associated with
24 placing them on a site, to school districts and county offices of
25 education impacted by a natural disaster for which the Governor
26 has declared a state of emergency. The allocated funds shall
27 supplement funding from insurance or any other local, state, or
28 federal government disaster assistance.

29 (b) For purposes of this section, and notwithstanding any other
30 section of this chapter, school districts and county offices of
31 education determined by the board to be impacted by a natural
32 disaster as described in subdivision (a) are deemed to meet the
33 requirements set forth in Section 17075.10.

34 (c) Notwithstanding any other law, a school district or county
35 office of education that receives assistance under this section shall
36 be entitled to retain savings from a project and use those savings
37 for other high-priority capital outlay purposes consistent with the
38 requirements of subdivision (c) of Section 17070.63.

39 (d) (1) A grant provided pursuant to this section shall not affect
40 the applicant's eligibility for any other program under this chapter.

(2) Notwithstanding paragraph (1), a portable classroom purchased pursuant to subdivision (a) shall be included in the determination of eligibility for new construction funding pursuant to Section 17071.75.

(e) The board may provide any other assistance to a school district or county office of education determined by the board to be impacted by a natural disaster as described in subdivision (a).

~~SEC. 19. Section 17077.35 of the Education Code is amended to read:~~

~~17077.35. (a) An applicant school district is encouraged to include plan design and other project components that seek school facility energy efficiency approaching the ultimate goal of school facility energy self-sufficiency, and may seek a grant adjustment for the state's share of the increased costs associated with those components.~~

~~(b) Energy efficiency components that are eligible for inclusion into a project pursuant to this section include, but are not limited to, conservation, load reduction technologies, peakload shifting, solar water heating technologies as described in subparagraph (A) of paragraph (2) of subdivision (b) of Section 25619 of the Public Resources Code and as rated and certified by the Solar Rating and Certification Corporation, the use of ground source temperatures for heating and cooling, photovoltaics, and technologies that meet the emerging technology eligibility criteria established by the State Energy Resources Conservation and Development Commission pursuant to Section 383.5 of the Public Utilities Code. A project that received funding from the renewable energy program administered by the State Energy Resources Conservation and Development Commission is not eligible for a grant adjustment under this section.~~

~~(c) In order to be eligible for the grant adjustment pursuant to this section, the building proposed for the project, including the energy efficiency and renewable energy measures used pursuant to this section, shall exceed the nonresidential building energy efficiency standards specified in Part 6 (commencing with Section 100) of Title 24 of the California Code of Regulations by an amount not less than 15 percent for new construction projects and not less than 10 percent for modernization projects, and shall be shown to provide sufficient energy savings to return the cost of the initial investment in the project over a period not to exceed~~

1 seven years. The applicant shall certify that the cost for the project
2 exceeds the amount of funding otherwise available to the applicant
3 under this chapter.

4 (d) ~~The board shall provide an applicant for a new construction~~
5 ~~or modernization project with a grant adjustment to provide an~~
6 ~~increase not to exceed 10 percent of its state grants authorized by~~
7 ~~Sections 17072.10 and 17074.10 for the state's share of costs~~
8 ~~associated with design and other plan components related to school~~
9 ~~facility energy efficiency as set forth in this article.~~

10 (e) ~~A school district shall not be eligible to receive a grant~~
11 ~~pursuant to subdivision (c) or (d) if the school district incorporates~~
12 ~~energy efficiency components that individually decrease the overall~~
13 ~~amount of energy savings that would result from the project.~~

14 *SEC. 21. Section 17077.35 of the Education Code is amended*
15 *to read:*

16 17077.35. (a) An applicant school district may include plan
17 design and other project components that *seek promote* school
18 facility energy efficiency approaching the ultimate goal of school
19 facility energy ~~self-sufficiency~~; *self-sufficiency and pollution*
20 *reduction*, and may seek a grant adjustment for the state's share
21 of the increased costs associated with those components.

22 (b) Energy efficiency components that *enable school facilities*
23 *to advance state energy goals and adapt to higher average*
24 *temperatures that pose a threat to the health and safety of pupils*
25 *and staff* are eligible for inclusion into a project pursuant to this
26 section include, but are not limited to, conservation, load reduction
27 technologies, peakload shifting, solar water heating technologies
28 as described in subparagraph (A) of paragraph (2) of subdivision
29 (b) of Section 25619 of the Public Resources Code and as rated
30 and certified by the Solar Rating and Certification Corporation;
31 the use of ground source temperatures for heating and cooling;
32 photovoltaics, and technologies that meet the emerging technology
33 eligibility criteria established by the State Energy Resources
34 Conservation and Development Commission pursuant to Section
35 383.5 of the Public Utilities Code. A project that received funding
36 from the renewable energy program administered by the State
37 Energy Resources Conservation and Development Commission
38 is not eligible for a grant adjustment under this section. *section,*
39 *including, but not limited to, all of the following:*

1 (1) *Electric heating, ventilation, and air conditioning (HVAC),*
2 *school kitchen equipment, and water heating.*

3 (2) *The use of ground source temperatures for heating and*
4 *cooling.*

5 (3) *Energy and water conservation, load reduction, peak-load*
6 *shifting, and building energy efficiency measures.*

7 (4) *Solar water heating technologies.*

8 (5) *Onsite renewable energy and storage, such as photovoltaics*
9 *and battery storage, microgrid controllers, and service panel*
10 *upgrades.*

11 (6) *Shade structures and the conversion of ground and rooftop*
12 *surfaces to materials with low absorption and reflection of heat,*
13 *which may include, but are not limited to, natural surfaces.*

14 (c) In order to be eligible for the grant adjustment pursuant to
15 this section, the building proposed for the project, including the
16 energy-efficiency and renewable energy measures ~~utilized~~ *used*
17 pursuant to this section, shall exceed the nonresidential building
18 energy-efficiency standards specified in Part 6 (commencing with
19 Section 100) of Title 24 of the California Code of Regulations ~~by~~
20 ~~an amount not less than 15 percent for new construction projects~~
21 ~~and not less than 10 percent for modernization projects, and shall~~
22 ~~be shown to provide sufficient energy savings to return the cost~~
23 ~~of the initial investment in the project over a period not to exceed~~
24 ~~seven years.~~ *Regulations.* The applicant shall certify that the cost
25 for the project exceeds the amount of funding otherwise available
26 to the applicant under this chapter.

27 (d) The board shall provide an applicant for a new construction
28 or modernization project with a grant adjustment to provide an
29 increase not to exceed 5 percent of its state grants authorized by
30 Sections 17072.10 and 17074.10 for the state's share of costs
31 associated with ~~design and other plan components~~ *design,*
32 *purchase, and installation* related to school facility energy
33 efficiency as set forth in this article.

34 (e) *The board may adopt regulations for purposes of this section.*

35 ~~SEC. 20.~~

36 ~~SEC. 22.~~ Article 10.7 (commencing with Section 17077.60) is
37 added to Chapter 12.5 of Part 10 of Division 1 of Title 1 of the
38 Education Code, to read:

Article 10.7. Testing and Remediation of Lead Levels in Water
at Schoolsites

17077.60. (a) (1) With funds made available for this purpose, the board shall provide a grant to test for lead in water outlets used for drinking or preparing food on schoolsites serving kindergarten or any of grades 1 to 12, inclusive, that were constructed before January 1, 2010, and for the remediation of any water outlets with lead levels in excess of 15 parts per billion.

(2) The board shall release disbursements to school districts with approved applications for purposes of this article, to the extent state funds are available, consistent with the applicable school district's local and state contribution percentages determined pursuant to Section 17074.16. Subject to the availability of funds, the board shall apportion funds to an eligible school district only upon review of evidence that the required local matching funds, for the applicable school district determined pursuant to Section 17074.16, have been expended by the school district for the project, have been deposited in the county fund, or will be expended by the school district by the time of completion of the project, and upon review of evidence that the school district has entered into a binding contract for the completion of that project.

(b) (1) A school district that applies for funding to test lead levels in water outlets used for drinking or preparing food shall be required to test all outlets on the schoolsite, except outlets that have been tested or replaced since January 1, 2010.

(2) A school district shall provide the test results to the Office of Public School Construction and the community water system that serves the school district.

(c) (1) A school district may request a grant for the replacement of a water outlet used for drinking or preparing food if the test results indicate lead levels for that water outlet exceed 15 parts per billion.

(2) Additional testing shall be required upon completion of the remediation efforts specified in paragraph (1) to ensure that lead levels have fallen below 15 parts per billion.

(d) The board shall establish funding cycles for allocation of funds. If funds are available at the conclusion of the funding cycles, the board may adopt regulations to provide grants to replace any pipes or fixtures that are contributing to the elevated lead levels if

1 lead levels do not fall below 15 parts per billion after additional
2 testing has been performed, as specified in paragraph (2) of
3 subdivision (c).

4 (e) The board may consider setting a maximum amount on the
5 grant to be provided for testing and remediation.

6 ~~SEC. 21. Article 11.5 (commencing with Section 17078.40)~~
7 ~~is added to Chapter 12.5 of Part 10 of Division 1 of Title 1 of the~~
8 ~~Education Code, to read:~~

9 *SEC. 23. Article 11.5 (commencing with Section 17078.35) is*
10 *added to Chapter 12.5 of Part 10 of Division 1 of Title 1 of the*
11 *Education Code, to read:*

12
13 Article 11.5. Assistance to Small School Districts

14
15 ~~17078.40.~~

16 *17078.35.* For purposes of this article, the following definitions
17 apply:

18 (a) “Final apportionment” has the same meaning as
19 “apportionment” as defined in subdivision (a) of Section 17070.15.

20 (b) “Preliminary application” means an application for a
21 preliminary apportionment pursuant to this article.

22 (c) “Preliminary apportionment” means a reservation of bond
23 authority for eligible applicants under this article in advance of
24 full compliance with all of the application requirements otherwise
25 required for an apportionment pursuant to this chapter.

26 (d) “Project and construction management grant” means a grant
27 for purposes of obtaining the services from a county office of
28 education, other local educational agency with applicable school
29 facilities construction expertise, ~~or applicable state department~~
30 *department, or a certified private construction consulting entity*
31 *from the list maintained pursuant to paragraph (2) of subdivision*
32 *(d) of Section 17078.47, to assist with the planning, site acquisition,*
33 *preconstruction, construction, and closeout of a project.*

34 (e) “Small school district” is a school district, as defined in
35 Section 17070.15, with an enrollment of fewer than 2,501 pupils.

36 ~~17078.41.~~

37 *17078.36.* (a) Unless this article expressly provides otherwise,
38 the provisions contained in the other articles of this chapter shall
39 apply with equal force to a project funded under this article. This
40 article shall control over the provisions of this chapter contained

1 in other articles only to the extent that this article expressly
2 conflicts with those provisions.

3 (b) This article shall apply only to a small school district that
4 is otherwise eligible under this chapter for a project that meets
5 both of the following:

6 (1) The project meets the criteria set forth in subdivision (a) of
7 Section ~~17078.42~~. 17078.37.

8 (2) The project is to be funded from proceeds of state bonds
9 approved by the voters at the _____, November 5, 2024, statewide
10 _____ general election that shall not exceed the amounts made
11 available pursuant to paragraphs (1) and (2) of subdivision (a) of
12 Section 101412.

13 ~~17078.42.~~

14 17078.37. Notwithstanding subdivision (a) of Section 17072.30
15 and subdivision (a) of Section 17074.16, as applicable:

16 (a) Applicants for funding pursuant to this article shall do both
17 of the following:

18 (1) Submit preliminary applications to the board.

19 (2) Meet the eligibility requirements described in Article 3
20 (commencing with Section 17071.75) and Article 6 (commencing
21 with Section 17073.10), as applicable.

22 (b) The board shall do both of the following:

23 (1) Accept a preliminary application from, and make a
24 preliminary apportionment to, a small school district for new
25 construction grants pursuant to Article 4 (commencing with Section
26 17072.10) or modernization grants pursuant to Article 7
27 (commencing with Section 17074.10) in a manner substantially
28 identical to the preliminary apportionment requirements established
29 in Section 17078.24, except that the eligibility of the applicant
30 shall be based on the criteria established in paragraph (2) of
31 subdivision (a).

32 (2) If requested, provide a preliminary apportionment of a
33 project and construction management grant equal to 5 percent of
34 the state share of the preliminary apportionment.

35 ~~17078.43.~~

36 17078.38. The board shall adopt regulations setting forth all
37 of the following:

38 (a) The preliminary application and preliminary apportionment.

39 (b) The apportionment of design grants, project assistance grants
40 pursuant to subdivision (e) of Section 17072.10 and subdivision

(e) of Section 17074.10, as applicable, and project and construction management grants to applicants that qualify for financial hardship assistance pursuant to Section 17075.15, as part of the preliminary apportionment.

(c) The existence of substantial progress requirements on apportionments for design and site grants identical to the requirements set forth in Section 1859.105 of Title 2 of the California Code of Regulations.

(d) The requirements for a final apportionment for the project in a manner substantially identical to the requirements of subdivisions (a) and (b) of Section 17078.25.

SEC. 24. Article 11.7 (commencing with Section 17078.45) is added to Chapter 12.5 of Part 10 of Division 1 of Title 1 of the Education Code, to read:

Article 11.7. State Augmentation of Federal Supporting America's School Infrastructure Grant Program for Priority School Districts

17078.45. For purposes of this article, the following definitions apply:

(a) "Centralized online resources" means an online portal or webpage dedicated to facilities maintenance and capital outlay in support of priority school districts.

(b) "Direct technical assistance" means professional support on facilities maintenance and capital outlay provided in person to a priority school district at the site.

(c) "Priority school district" means a school district that the State Department of Education determines is in need of capital outlay assistance. The State Department of Education's determination is based on the school district meeting one or more of the following criteria:

- (1) An enrollment of fewer than 2,501 pupils.
 - (2) Low gross bonding capacity per enrollment.
 - (3) A high percentage of unduplicated pupils.
 - (4) Has not previously submitted an application for funding pursuant to the School Facility Program.
- (d) "SASI Grant" means the federal Supporting America's School Infrastructure Grant Program.

1 (e) “State and county collaboration” means the joint efforts of
2 the State Department of Education, county offices of education,
3 and other state agencies, such as the Division of the State Architect
4 and the Office of Public School Construction, to provide regional
5 resource centers throughout the state to ensure priority school
6 districts have access to local support.

7 17078.46. (a) The board shall provide a grant of five million
8 dollars (\$5,000,000) to the State Department of Education to
9 expand the objectives of the SASI Grant and support priority school
10 districts as described in this article. The grant funds shall be made
11 available from the amounts allocated pursuant to paragraphs (1)
12 and (2) of subdivision (a) of Section 101412 at the board’s
13 discretion.

14 (b) Any portion of the amount described in subdivision (a) that
15 is not allocated pursuant to subdivision (a) by January 1, 2030,
16 shall be available for the purposes described in paragraphs (1)
17 and (2) of subdivision (a) of Section 101412, as determined by the
18 board.

19 17078.47. The bond funds allocated to the State Department
20 of Education pursuant to Section 17070.46 shall be used for all
21 of the following purposes:

22 (a) Direct technical assistance to priority school districts,
23 including training in at least all of the following:

24 (1) Tools used to determine if a school facility is in “good
25 repair” as defined in paragraph (1) of subdivision (d) of Section
26 17002 and rating a facility pursuant to paragraph (2) of
27 subdivision (d) of Section 17002.

28 (2) Developing a schoolsite inventory.

29 (3) Assessing facility needs, estimating costs, and prioritizing
30 projects.

31 (4) Identifying funding options, including eligibility to
32 participate in the school facilities program.

33 (5) Developing facility contracts, including testing, architectural
34 services, inspections, and construction.

35 (b) State and county collaboration efforts, including at least all
36 of the following:

37 (1) Developing a regional network of facilities and maintenance
38 staff at county offices of education throughout the state to sustain
39 ongoing support for priority school districts.

1 (2) Conducting quarterly meetings throughout the state, in
2 partnership with the Division of the State Architect and the Office
3 of Public School Construction, designed to address the facilities
4 challenges faced by priority school districts.

5 (3) Partnering with other state agencies and organizations
6 representing priority school districts with limited expertise and
7 capacity.

8 (c) Development and maintenance of centralized online
9 resources, including at least all of the following:

10 (1) Dedicating a portal or webpage to school facilities
11 maintenance to support maintenance assessment, state and national
12 funding programs, and contract development and management.

13 (2) Providing standardized forms and tools for use by priority
14 school districts.

15 (3) Developing an on-demand library of resources, including
16 webinars, videos, and additional learning tools.

17 (d) State level expertise on facility maintenance, which may
18 include both of the following:

19 (1) Building the capacity of the State Department of Education
20 and county offices of education in supporting priority school
21 districts.

22 (2) Establishing, in partnership with the Division of the State
23 Architect and the Office of Public School Construction, a
24 certification process for private construction consultants and
25 maintaining an up-to-date list of certified consultants for use by
26 priority school districts.

27 17078.48. The State Department of Education shall adopt
28 regulations setting forth the requirements and procedures for the
29 allocation and use of bond funds pursuant to this article, including,
30 but not limited to, all of the following:

31 (a) The process for determining recipients of direct technical
32 assistance.

33 (b) The framework for state and county collaboration efforts.

34 (c) The development, maintenance, and accessibility of
35 centralized online resources.

36 (d) Reporting and accountability measures to ensure the effective
37 use of the allocated funds and the achievement of its intended
38 outcomes.

1 ~~SEC. 22.~~

2 SEC. 25. Section 17078.52 of the Education Code is amended
3 to read:

4 17078.52. (a) There is hereby established the Charter School
5 Facilities Program to provide funding to qualifying entities for the
6 purpose of establishing school facilities for charter school pupils.

7 (b) (1) The 2002 Charter School Facilities Account is hereby
8 established within the 2002 State School Facilities Fund established
9 pursuant to subdivision (b) of Section 17070.40. The proceeds of
10 bonds, as set forth in subparagraph (A) of paragraph (1) of
11 subdivision (a) of Section 100620, shall be deposited into the 2002
12 Charter School Facilities Account for the purposes of this article.
13 Notwithstanding Section 13340 of the Government Code, funds
14 deposited into the account are hereby continuously appropriated
15 for the purposes of this article.

16 (2) The 2004 Charter School Facilities Account is hereby
17 established within the 2004 State School Facilities Fund established
18 pursuant to subdivision (c) of Section 17070.40. The proceeds of
19 bonds, as set forth in subparagraph (A) of paragraph (1) of
20 subdivision (a) of Section 100820, if approved by the voters, shall
21 be deposited into the 2004 Charter School Facilities Account for
22 the purposes of this article. Notwithstanding Section 13340 of the
23 Government Code, funds deposited into the account are hereby
24 continuously appropriated for the purposes of this article.

25 (3) The 2006 Charter School Facilities Account is hereby
26 established within the 2006 State School Facilities Fund established
27 pursuant to subdivision (d) of Section 17070.40. The proceeds of
28 bonds, as set forth in paragraph (2) of subdivision (a) of Section
29 101012, if approved by the voters, shall be deposited into the 2006
30 Charter School Facilities Account for the purposes of this article.
31 Notwithstanding Section 13340 of the Government Code, funds
32 deposited into the account are hereby continuously appropriated
33 for the purposes of this article.

34 (4) The 2024 Charter School Facilities Account is hereby
35 established within the 2024 State School Facilities Fund established
36 pursuant to Section 17070.42. The proceeds of bonds, as set forth
37 in paragraph ~~(5)~~ (3) of subdivision (a) of Section 101412 and if
38 approved by the voters at the _____ November 5, 2024, statewide
39 _____ general election, shall be deposited into the 2024 Charter
40 School Facilities Account for purposes of this article.

1 Notwithstanding Section 13340 of the Government Code, funds
2 deposited into the account are hereby continuously appropriated
3 for purposes of this article.

4 (c) As used in this article, the following terms have the following
5 meanings:

6 (1) “Authority” means the California School Finance Authority
7 established pursuant to Section 17172.

8 (2) “Account” means the pertinent account established under
9 subdivision (b).

10 (3) “Preliminary apportionment” means an apportionment made
11 for eligible applicants under this article in advance of full
12 compliance with all of the application requirements otherwise
13 required for an apportionment pursuant to this chapter. The process
14 for making preliminary apportionments under this article shall be
15 substantially identical to the process established for critically
16 overcrowded schools pursuant to Sections 17078.22 to 17078.30,
17 inclusive.

18 (4) “Financially sound” means a charter school that has
19 demonstrated, over a period of time determined by the authority,
20 but not less than 24 months immediately preceding the submission
21 of the application, that it has operated as a financially capable
22 concern in California, as measured by criteria established by the
23 authority. A charter school that cannot demonstrate that it has been
24 a financially capable concern for at least 24 months immediately
25 preceding the submission of the application, due solely to not
26 having operated as a charter school for at least 24 months, may
27 meet this 24-month requirement if the charter school is managed
28 by staff who have at least 24 months of documented experience,
29 as measured by criteria established by the authority and the charter
30 school has an educational plan, financial resources, facilities
31 expertise, management expertise, and has been a financially capable
32 concern for at least 24 months, as established by the authority.

33 (d) The board shall, from time to time, transfer funds within the
34 account to the California School Finance Authority Fund for the
35 purposes of this article pursuant to the request of the authority as
36 set forth in this article.

37 ~~SEC. 23.~~

38 SEC. 26. Section 17078.58 of the Education Code is amended
39 to read:

1 17078.58. (a) Funding granted pursuant to this article may not
2 exceed 100 percent of the total allowable project costs as
3 determined by calculating double the per-pupil grant eligibility as
4 set forth in Section 17072.10, and subdivision (e) of Section
5 17078.53, plus 100 percent of all other allowable construction
6 project costs, as appropriate to the project, that would otherwise
7 be available to school district projects as set forth in this chapter.
8 Funding granted for the purposes of rehabilitating buildings under
9 Section 17078.54 shall be limited to the costs necessary to comply
10 with subdivision (c) of Section 17078.54, and shall not exceed the
11 maximum costs that would otherwise be allowable for a new
12 construction project funded under this article.

13 (b) The local share equivalent shall be collected in the form of
14 lease payments or otherwise as set forth in this article.

15 (c) Lease payments in lieu of local share payments, and any
16 other local share payments made pursuant to this article, shall be
17 made to the board for deposit into the respective 2002, 2004, 2006,
18 or 2024 Charter School Facilities Account. Funds deposited into
19 the account pursuant to this section may be used by the board only
20 for a purpose related to charter school facilities pursuant to this
21 article.

22 (d) When a preliminary apportionment under this article is
23 converted to a final apportionment, any funds not needed for the
24 final apportionment shall remain in the 2002, 2004, 2006, or 2024
25 Charter School Facilities Account for use by the board for any
26 purpose related to charter school facilities pursuant to this article.

27 *SEC. 27. Section 17078.74 is added to the Education Code,*
28 *immediately following Section 17078.72, to read:*

29 *17078.74. (a) Except as otherwise provided in this section, a*
30 *modernization grant adjustment provided pursuant to this section*
31 *is not subject to the requirements of Section 17078.72.*

32 *(b) An applicant school district may include plan design and*
33 *other project components that promote career technical education*
34 *to enhance the educational opportunities for pupils in existing*
35 *middle and high schools, and may seek a modernization grant*
36 *adjustment for the state's share of the increased costs associated*
37 *with those components.*

38 *(c) Career technical education components that enable school*
39 *facilities to provide pupils with the skills and knowledge necessary*
40 *for high-demand technical careers are eligible for inclusion into*

1 a project pursuant to this section, including, but not limited to, all
2 of the following:

3 (1) Modernization of facilities to support career technical
4 education programs.

5 (2) Reconfiguring a structure of any age that will enhance the
6 educational opportunities for pupils in existing middle and high
7 schools in order to provide them with the skills and knowledge
8 necessary for high-demand technical careers.

9 (3) Purchasing equipment with an average useful life expectancy
10 of at least 10 years.

11 (d) (1) In order to be eligible for the modernization grant
12 adjustment pursuant to this section, the applicant shall certify that
13 the cost for the project exceeds the amount of funding otherwise
14 available to the applicant under this chapter and that the career
15 technical education components are necessary to maintain industry
16 standards.

17 (2) The applicant shall submit necessary plans and specifications
18 for career technical education components to the State Department
19 of Education for approval, ensuring compliance with eligibility
20 criteria as stipulated, for modernization projects only, in Section
21 1859.192 of Title 2 of the California Code of Regulations, with
22 the exception of paragraph (2) of subdivision (b) of Section
23 1859.192 of Title 2 of the California Code of Regulations.

24 (e) The board shall provide an applicant for a modernization
25 project with a grant adjustment to provide an increase not to
26 exceed 5 percent of its state grants authorized by Section 17074.10
27 for the state's share of costs associated with the design, purchase,
28 and installation related to career technical education components
29 as set forth in this section.

30 (f) An applicant career technical education program shall meet
31 the criteria developed under subdivision (b) of Section 17078.72
32 and shall demonstrate all of the following:

33 (1) A clear and comprehensive career technical education plan
34 for each course of study applicable to the instructional space.

35 (2) Projections of pupil enrollment.

36 (3) Identification of feeder schools, industry partners, and
37 community colleges or institutions of higher education
38 participating in the development, articulation, and review of the
39 educational program.

(4) Evidence of approval of the plan described in paragraph (1) by the entities listed in paragraph (3) and the State Department of Education, including a determination by the State Department of Education that the application has scored at least 105 points as required under subdivision (c) of Section 1859.192 of Title 2 of the California Code of Regulations.

(5) The method by which accountability for pupil enrollments and outcomes will be maintained. Outcomes shall include, but are not limited to, certificate completion, successful entry of pupils to employment in the applicable industry, and successful transition to institutions of higher education for work in the applicable industry or other areas of study.

(6) Evidence of coordination with all feeder schools, middle schools, and high schools within the area to ensure that the project and programs complement career technical education offerings in the area.

(7) Evidence that upon completion of the project, the local educational agency will meet all of its obligations under Section 51228 relating to career technical education.

(g) The Office of Public School Construction shall develop regulations, subject to board approval, to implement this section. The regulations shall include procedures for the submission of State Department of Education-approved plans and specifications as a condition for the modernization grant adjustment, in alignment with subdivision (b) of Section 1859.197 of Title 2 of the California Code of Regulations.

(h) Projects shall be subject to a program accountability expenditure audit, consistent with State Department of Education guidelines, to ensure compliance with the funding regulations. Any repayments due back to the state as a result of these audits shall be subject to the repayment provisions in Section 1859.106.1 of Title 2 of the California Code of Regulations.

~~SEC. 24.~~

SEC. 28. Part 72 (commencing with Section 101400) is added to Division 14 of Title 3 of the Education Code, to read:

PART 72. THE TRANSITIONAL KINDERGARTEN
THROUGH COMMUNITY COLLEGE PUBLIC EDUCATION
FACILITIES KINDERGARTEN THROUGH GRADE 12
SCHOOLS AND LOCAL COMMUNITY COLLEGE PUBLIC

EDUCATION FACILITIES MODERNIZATION, REPAIR, AND
SAFETY BOND ACT OF 2024

CHAPTER 1. GENERAL PROVISIONS

101400. This part shall be known, and may be cited, as the ~~Transitional Kindergarten Through Community College Public Education Facilities~~ Kindergarten Through Grade 12 Schools and Local Community College Public Education Facilities Modernization, Repair, and Safety Bond Act of 2024.

101401. The Legislature finds and declares all of the following:

(a) A University of California, Berkeley report estimates that 85 percent of the classrooms in California are more than 25 years old, 30 percent of the classrooms are between 50 to 70 years old, and about 10 percent of the classrooms are 70 years old or older.

(b) Research on school building conditions and student outcomes finds a consistent relationship between poor facilities and poor performance by students. School facilities that are clean, in good repair, and designed to support high academic standards are more likely to support higher student achievement, regardless of student socioeconomic status. Students who receive instruction in buildings with good environmental conditions can earn test scores that are 5 to 17 percent higher than scores for students in substandard buildings.

(c) About one-third of new jobs in California will require some training beyond high school but less than a four-year degree. Career technical education, also known as vocational training, connects students to these career opportunities by providing industry-based skills.

(d) The School Facility Program is almost out of funding. School districts across California have submitted a total of \$3,300,000,000 in new construction and modernization projects and they are waiting to be funded.

(e) There are over 1,000 charter schools in California, and those charter schools are primarily located in urban areas. Charter schools often face significant financial challenges in securing adequate facilities. Therefore, supporting charter school facilities is essential to ensuring that all students have access to high-quality learning environments. By investing in the construction and rehabilitation of charter school buildings, we can help ensure

1 *these schools can provide safe, modern, and conducive learning*
2 *environments. This support is important for fostering educational*
3 *innovation and providing equitable educational opportunities for*
4 *all students.*

5 *(f) Small and disadvantaged school districts often face*
6 *significant challenges in maintaining and upgrading their facilities.*
7 *These districts serve some of the most vulnerable student*
8 *populations and frequently lack the resources to address critical*
9 *infrastructure needs.*

10 *(g) The California Community Colleges is the largest*
11 *postsecondary educational system in the United States, historically*
12 *serving approximately 2,100,000 students annually. The California*
13 *Community Colleges have billions of dollars in need for*
14 *construction of new facilities for enrollment growth and for*
15 *modernization of existing facilities.*

16 ~~101401.~~

17 *101402. (a) The incorporation of, or reference to, any provision*
18 *of state statutory law in this part includes all acts amendatory*
19 *thereof and supplementary thereto.*

20 *(b) For purposes of this part, “State General Obligation Bond*
21 *Law” means the State General Obligation Bond Law (Chapter 4*
22 *(commencing with Section 16720) of Part 3 of Division 4 of Title*
23 *2 of the Government Code), as it may be amended from time to*
24 *time.*

25 ~~101402.~~

26 *101403. Bonds in the total amount of ~~fourteen~~ ten billion*
27 *dollars ~~(\$14,000,000,000), (\$10,000,000,000),~~ not including the*
28 *amount of any refunding bonds issued in accordance with Sections*
29 *101430 and 101451, may be issued and sold for the purposes set*
30 *forth in Sections 101420 and 101442. The bonds, when sold,*
31 *issued, and delivered, shall be and constitute a valid and binding*
32 *obligation of the State of California, and the full faith and credit*
33 *of the State of California is hereby pledged for the punctual*
34 *payment of the principal of, and interest on, the bonds as the*
35 *principal and interest become due and payable.*

CHAPTER 2. ~~TRANSITIONAL~~ KINDERGARTEN THROUGH GRADE

12

Article 1. ~~Transitional~~ Kindergarten Through Grade 12 School
Facilities Program Provisions

101410. The proceeds of bonds issued and sold pursuant to this chapter, not including the proceeds of any refunding bonds issued in accordance with Section 101430, shall be deposited in the 2024 State School Facilities Fund established in the State Treasury under Section 17070.42, and shall be allocated by the State Allocation Board pursuant to this chapter.

101411. All moneys deposited in the 2024 State School Facilities Fund for the purposes of this chapter shall be available to provide aid to school districts, county superintendents of schools, and county boards of education of the state in accordance with the Leroy F. Greene School Facilities Act of 1998 (Chapter 12.5 (commencing with Section 17070.10) of Part 10 of Division 1 of Title 1), to provide funds to repay any money advanced or loaned to the 2024 State School Facilities Fund under any act of the Legislature, together with interest provided for in that act, and to reimburse the General Obligation Bond Expense Revolving Fund pursuant to Section 16724.5 of the Government Code.

101412. (a) The proceeds from the sale of bonds issued and sold for the purposes of this chapter shall be allocated in accordance with the following schedule:

(1) (A) The amount of ~~_____ dollars (\$_____)~~ *three billion three hundred million dollars (\$3,300,000,000)* for new construction of school facilities of applicant school districts pursuant to Chapter 12.5 (commencing with Section 17070.10) of Part 10 of Division 1 of Title 1. Of the amount allocated under this paragraph, up to 10 percent shall be available to small school districts pursuant to Article 11.5 (commencing with Section ~~17078.40~~) 17078.35) of Chapter 12.5 of Part 10 of Division 1 of Title 1.

(B) *Of the amount allocated under this paragraph, up to the amount necessary to fund the applications on the Applications Received Beyond Bond Authority List shall be available to support applications for the new construction of school facilities submitted pursuant to the Leroy F. Greene School Facilities Act of 1998 on or before October 31, 2024.*

(2) (A) The amount of _____ dollars (\$_____) *four billion dollars (\$4,000,000,000)* for the modernization of school facilities pursuant to Chapter 12.5 (commencing with Section 17070.10) of Part 10 of Division 1 of Title 1. Of the amount allocated under this paragraph, up to 10 percent shall be available to small school districts pursuant to Article 11.5 (commencing with Section ~~17078.40~~ 17078.35) of Chapter 12.5 of Part 10 of Division 1 of Title 1.

(B) *Of the amount allocated under this paragraph, up to the amount necessary to fund the applications on the Applications Received Beyond Bond Authority List shall be available to support applications for the modernization of school facilities submitted pursuant to the Leroy F. Greene School Facilities Act of 1998 on or before October 31, 2024.*

(C) *Of the amount allocated under this paragraph, up to one hundred fifteen million dollars (\$115,000,000) shall be available to address the remediation of lead in water pursuant to Article 10.7 (commencing with Section 17077.60) of Chapter 12.5 of Part 10 of Division 1 of Title 1.*

~~(3) The amount of _____ dollars (\$_____) for the replacement of facilities that are at least 50 years old pursuant to Section 17074.265.~~

~~(4) The amount of _____ dollars (\$_____) for the remediation of lead in water pursuant to Article 10.7 (commencing with Section 17077.60) of Chapter 12.5 of Part 10 of Division 1 of Title 1.~~

~~(5)~~
(3) The amount of _____ dollars (\$_____) *six hundred million dollars (\$600,000,000)* for providing school facilities to charter schools pursuant to Article 12 (commencing with Section 17078.52) of Chapter 12.5 of Part 10 of Division 1 of Title 1.

~~(6)~~
(4) The amount of _____ dollars (\$_____) *six hundred million dollars (\$600,000,000)* for facilities for career technical education programs pursuant to Article 13 (commencing with Section 17078.70) of Chapter 12.5 of Part 10 of Division 1 of Title 1.

~~(7) The amount of _____ dollars (\$_____) for projects to address climate change impacts on school facilities.~~

(b) School districts may use funds allocated pursuant to paragraph (2) of subdivision (a) only for one or more of the

1 following purposes in accordance with Chapter 12.5 (commencing
2 with Section 17070.10) of Part 10 of Division 1 of Title 1:

3 (1) The purchase and installation of air-conditioning equipment
4 and insulation materials, and related costs.

5 (2) Construction projects or the purchase of furniture or
6 equipment designed to increase school security or playground
7 safety.

8 (3) The identification, assessment, or abatement in school
9 facilities of hazardous asbestos.

10 (4) Project funding for high-priority roof replacement projects.

11 (5) Any other modernization of facilities pursuant to Chapter
12 12.5 (commencing with Section 17070.10) of Part 10 of Division
13 1 of Title 1.

14 (c) Funds allocated pursuant to paragraph (1) of subdivision (a)
15 may also be used to provide new construction grants for eligible
16 applicant county boards of education under Chapter 12.5
17 (commencing with Section 17070.10) of Part 10 of Division 1 of
18 Title 1 for funding classrooms for severely handicapped pupils,
19 or for funding classrooms for county community school pupils.

20 *(d) Of the amounts allocated under paragraphs (1) and (2) of*
21 *subdivision (a), the State Allocation Board may provide a grant*
22 *of five million dollars (\$5,000,000) to the State Department of*
23 *Education pursuant to Section 17078.46.*
24

25 Article 2. ~~Transitional~~ Kindergarten Through Grade 12 School
26 Facilities Fiscal Provisions
27

28 101420. (a) Of the total amount of bonds authorized to be
29 issued and sold pursuant to Chapter 1 (commencing with Section
30 101400), bonds in the amount of ~~_____dollars (\$_____)~~, *eight billion*
31 *five hundred million dollars (\$8,500,000,000)*, not including the
32 amount of any refunding bonds issued in accordance with Section
33 101430, may be issued and sold to provide a fund to be used for
34 carrying out the purposes expressed in this chapter and to reimburse
35 the General Obligation Bond Expense Revolving Fund pursuant
36 to Section 16724.5 of the Government Code.

37 (b) Pursuant to this section, the Treasurer shall sell the bonds
38 authorized by the State School Building Finance Committee
39 established pursuant to Section 15909 at any times necessary to
40 service expenditures required by the apportionments.

1 101421. The State School Building Finance Committee,
2 established by Section 15909 and composed of the Governor, the
3 Controller, the Treasurer, the Director of Finance, and the
4 Superintendent, or their designated representatives, all of whom
5 shall serve thereon without compensation, and a majority of whom
6 shall constitute a quorum, is continued in existence to act as the
7 committee, as defined in the State General Obligation Bond Law
8 (Chapter 4 (commencing with Section 16720) of Part 3 of Division
9 4 of Title 2 of the Government Code), for purposes of this chapter.
10 The Treasurer shall serve as chairperson of the committee. Two
11 Members of the Senate appointed by the Senate Committee on
12 Rules, and two Members of the Assembly appointed by the Speaker
13 of the Assembly, shall meet with and provide advice to the
14 committee to the extent that the advisory participation is not
15 incompatible with their respective positions as Members of the
16 Legislature. For purposes of this chapter, the Members of the
17 Legislature shall constitute an interim investigating committee on
18 the subject of this chapter and, as that committee, shall have the
19 powers granted to, and duties imposed upon, those committees by
20 the Joint Rules of the Senate and the Assembly. The Director of
21 Finance shall provide assistance to the committee as it may require.
22 The Attorney General is the legal adviser of the committee.

23 101422. (a) The bonds authorized by this chapter shall be
24 prepared, executed, issued, sold, paid, and redeemed as provided
25 in the State General Obligation Bond Law (Chapter 4 (commencing
26 with Section 16720) of Part 3 of Division 4 of Title 2 of the
27 Government Code). The provisions of that law, including all acts
28 amendatory thereof and supplementary thereto, apply to those
29 authorized bonds and this chapter, and are hereby incorporated
30 into this chapter as though set forth in full within this chapter,
31 except that subdivisions (a) and (b) of Section 16727 of the
32 Government Code shall not apply to the bonds authorized by this
33 chapter.

34 (b) For purposes of the State General Obligation Bond Law, the
35 State Allocation Board is designated the “board” for purposes of
36 administering the 2024 State School Facilities Fund.

37 101423. (a) Upon request of the State Allocation Board, the
38 State School Building Finance Committee shall determine by
39 resolution whether or not it is necessary or desirable to issue bonds
40 authorized pursuant to this chapter in order to fund the related

1 apportionments and, if so, the amount of bonds to be issued and
2 sold. Successive issues of bonds may be authorized and sold to
3 fund those apportionments progressively, and it is not necessary
4 that all of the bonds authorized to be issued be sold at any one
5 time.

6 (b) A request of the State Allocation Board pursuant to
7 subdivision (a) shall be supported by a statement of the
8 apportionments made and to be made for the purposes described
9 in Section 101412.

10 101424. There shall be collected each year, in the same manner
11 and at the same time as other state revenue is collected and in
12 addition to the ordinary revenues of the state, a sum in an amount
13 required to pay the principal of, and interest on, the bonds each
14 year. It is the duty of all officers charged by law with any duty in
15 regard to the collection of the revenue to do and perform each and
16 every act that is necessary to collect that additional sum.

17 101425. Notwithstanding Section 13340 of the Government
18 Code, there is hereby appropriated from the General Fund in the
19 State Treasury, for the purposes of this chapter, an amount that
20 equals the total of the following:

21 (a) The sum annually necessary to pay the principal of, and
22 interest on, bonds issued and sold pursuant to this chapter, as the
23 principal and interest become due and payable.

24 (b) The sum necessary to carry out Section 101428, appropriated
25 without regard to fiscal years.

26 101426. The State Allocation Board may request the Pooled
27 Money Investment Board to make a loan from the Pooled Money
28 Investment Account or any other approved form of interim
29 financing, in accordance with Section 16312 of the Government
30 Code, for the purpose of carrying out this chapter. The amount of
31 the request shall not exceed the amount of the unsold bonds that
32 the committee, by resolution, has authorized to be sold for the
33 purpose of carrying out this chapter excluding any refunding bonds
34 authorized pursuant to Section 101430, less any amount loaned
35 and not yet repaid pursuant to this section and withdrawn from the
36 General Fund pursuant to Section 101428 and not yet returned.
37 The State Allocation Board shall execute any documents required
38 by the Pooled Money Investment Board to obtain and repay the
39 loan. Any amounts loaned shall be deposited in the 2024 State

1 School Facilities Fund to be allocated by the State Allocation Board
2 in accordance with this chapter.

3 101427. Notwithstanding any other provision of this chapter,
4 or of the State General Obligation Bond Law, if the Treasurer sells
5 bonds pursuant to this chapter that include a bond counsel opinion
6 to the effect that the interest on the bonds is excluded from gross
7 income for federal tax purposes under designated conditions or is
8 otherwise entitled to any federal tax advantage, the Treasurer may
9 maintain separate accounts for the investment of bond proceeds
10 and for the investment earnings on those proceeds. The Treasurer
11 may use or direct the use of those proceeds or earnings to pay any
12 rebate, penalty, or other payment required under federal law or
13 take any other action with respect to the investment and use of
14 those bond proceeds required or desirable under federal law to
15 maintain the tax-exempt status of those bonds and to obtain any
16 other advantage under federal law on behalf of the funds of this
17 state.

18 101428. For purposes of carrying out this chapter, the Director
19 of Finance may authorize the withdrawal from the General Fund
20 of an amount not to exceed the amount of the unsold bonds,
21 excluding any refunding bonds authorized pursuant to Section
22 101430, less any amount loaned and not yet repaid pursuant to
23 Section 101426 and withdrawn from the General Fund pursuant
24 to this section and not yet returned, that have been authorized by
25 the State School Building Finance Committee to be sold for the
26 purpose of carrying out this chapter. Any amounts withdrawn shall
27 be deposited in the 2024 State School Facilities Fund and allocated
28 by the State Allocation Board in accordance with this chapter. Any
29 money made available under this section shall be returned to the
30 General Fund, plus an amount equal to the interest that the money
31 would have earned in the Pooled Money Investment Account, from
32 proceeds received from the sale of bonds for purposes of carrying
33 out this chapter.

34 101429. All moneys deposited in the 2024 State School
35 Facilities Fund that are derived from premium and accrued interest
36 on bonds sold pursuant to this chapter shall be reserved in the fund
37 and shall be available for transfer to the General Fund as a credit
38 to expenditures for bond interest, except those amounts derived
39 from premium may be reserved and used to pay the cost of the
40 bond issuance before any transfer to the General Fund.

101430. The bonds issued and sold pursuant to this chapter may be refunded in accordance with Article 6 (commencing with Section 16780) of Chapter 4 of Part 3 of Division 4 of Title 2 of the Government Code, which is a part of the State General Obligation Bond Law. Approval by the voters of the state for the issuance of the bonds described in this chapter includes the approval of the issuance of any bonds issued to refund any bonds originally issued under this chapter or any previously issued refunding bonds. Any bond refunded with the proceeds of refunding bonds as authorized by this section may be legally defeased to the extent permitted by law in the manner and to the extent set forth in the resolution, as amended from time to time, authorizing that refunded bond.

101431. The proceeds from the sale of bonds authorized by this chapter are not “proceeds of taxes” as that term is used in Article XIII B of the California Constitution, and the disbursement of these proceeds is not subject to the limitations imposed by that article.

CHAPTER 3. CALIFORNIA COMMUNITY COLLEGE FACILITIES

Article 1. General Provisions

101440. (a) The 2024 California Community College Capital Outlay Bond Fund is hereby established in the State Treasury for deposit of funds from the proceeds of bonds, not including the proceeds of any refunding bonds issued in accordance with Section 101451, issued and sold for the purposes of this chapter.

(b) The Higher Education Facilities Finance Committee established pursuant to Section 67353 is hereby continued in existence to act as the committee, as defined in the State General Obligation Bond Law (Chapter 4 (commencing with Section 16720) of Part 3 of Division 4 of Title 2 of the Government Code), for purposes of this chapter and to provide funds to aid the California Community Colleges.

Article 2. California Community College Program Provisions

101441. (a) From the proceeds of bonds issued and sold pursuant to Article 3 (commencing with Section 101442), the sum

1 of ~~_____ dollars (\$_____)~~ *one billion five hundred million dollars*
2 *(\$1,500,000,000)* shall be deposited in the 2024 California
3 Community College Capital Outlay Bond Fund for purposes of
4 this chapter. When appropriated, these funds shall be available for
5 expenditure for purposes of this chapter.

6 (b) The purposes of this chapter include assisting in meeting
7 the capital outlay financing needs of the California Community
8 Colleges.

9 (c) Proceeds from the sale of bonds issued and sold for purposes
10 of this chapter may be used to fund construction on existing
11 campuses, including the construction of buildings and the
12 acquisition of related fixtures; construction of intersegmental
13 facilities; the renovation and reconstruction of facilities; site
14 acquisition; the equipping of new, renovated, or reconstructed
15 facilities, which equipment shall have an average useful life of 10
16 years; and to provide funds for the payment of preconstruction
17 costs, including, but not limited to, preliminary plans and working
18 drawings for facilities of the California Community Colleges.

19 (d) For purposes of this section, “intersegmental” means may
20 be used by more than one segment of public higher education.

21 Article 3. California Community College Fiscal Provisions

22
23
24 101442. (a) Of the total amount of bonds authorized to be
25 issued and sold pursuant to Chapter 1 (commencing with Section
26 101400), bonds in the total amount of ~~_____ dollars (\$_____)~~; *one*
27 *billion five hundred million dollars (\$1,500,000,000)*, not including
28 the amount of any refunding bonds issued in accordance with
29 Section 101451, may be issued and sold to provide a fund to be
30 used for carrying out the purposes expressed in this chapter and
31 to reimburse the General Obligation Bond Expense Revolving
32 Fund pursuant to Section 16724.5 of the Government Code.

33 (b) Pursuant to this section, the Treasurer shall sell the bonds
34 authorized by the Higher Education Facilities Finance Committee
35 established pursuant to Section 67353 at any different times
36 necessary to service expenditures required by the apportionments.

37 101443. (a) The bonds authorized by this chapter shall be
38 prepared, executed, issued, sold, paid, and redeemed as provided
39 in the State General Obligation Bond Law (Chapter 4 (commencing
40 with Section 16720) of Part 3 of Division 4 of Title 2 of the

Government Code). The provisions of that law, including all acts amendatory thereof and supplementary thereto, apply to those authorized bonds and this chapter, and are hereby incorporated into this chapter as though set forth in full within this chapter, except that subdivisions (a) and (b) of Section 16727 of the Government Code shall not apply to the bonds authorized by this chapter.

(b) For purposes of the State General Obligation Bond Law, each state agency administering an appropriation of the 2024 Community College Capital Outlay Bond Fund is designated as the “board” for projects funded pursuant to this chapter.

(c) The proceeds of the bonds issued and sold pursuant to this chapter shall be available for the purpose of funding aid to the California Community Colleges for the construction on existing or new campuses, and their respective off-campus centers and joint use and intersegmental facilities, as set forth in this chapter.

101444. The Higher Education Facilities Finance Committee established pursuant to Section 67353 shall authorize the issuance of bonds under this chapter only to the extent necessary to fund the related apportionments for the purposes described in this chapter that are expressly authorized by the Legislature in the annual Budget Act. Pursuant to that legislative direction, the committee shall determine by resolution whether or not it is necessary or desirable to issue bonds authorized pursuant to this chapter in order to carry out the purposes described in this chapter and, if so, the amount of bonds to be issued and sold. Successive issues of bonds may be authorized and sold to carry out those actions progressively, and it is not necessary that all of the bonds authorized to be issued be sold at any one time.

101445. There shall be collected each year and in the same manner and at the same time as other state revenue is collected, in addition to the ordinary revenues of the state, a sum in an amount required to pay the principal of, and interest on, the bonds each year. It is the duty of all officers charged by law with any duty in regard to the collection of the revenue to do and perform each and every act that is necessary to collect that additional sum.

101446. Notwithstanding Section 13340 of the Government Code, there is hereby appropriated from the General Fund in the State Treasury, for the purposes of this chapter, an amount that equals the total of the following:

1 (a) The sum annually necessary to pay the principal of, and
2 interest on, bonds issued and sold pursuant to this chapter, as the
3 principal and interest become due and payable.

4 (b) The sum necessary to carry out Section 101449, appropriated
5 without regard to fiscal years.

6 101447. The board, as defined in subdivision (b) of Section
7 101443, may request the Pooled Money Investment Board to make
8 a loan from the Pooled Money Investment Account or any other
9 approved form of interim financing, in accordance with Section
10 16312 of the Government Code, for the purpose of carrying out
11 this chapter. The amount of the request shall not exceed the amount
12 of the unsold bonds that the Higher Education Facilities Finance
13 Committee, by resolution, has authorized to be sold for the purpose
14 of carrying out this chapter excluding any refunding bonds
15 authorized pursuant to Section 101451, less any amount loaned
16 and not yet repaid pursuant to this section and withdrawn from the
17 General Fund pursuant to Section 101249 and not yet returned.
18 The board, as defined in subdivision (b) of Section 101443, shall
19 execute any documents required by the Pooled Money Investment
20 Board to obtain and repay the loan. Any amounts loaned shall be
21 deposited in the 2024 California Community College Capital
22 Outlay Bond Fund to be allocated by the board in accordance with
23 this chapter.

24 101448. Notwithstanding any other provision of this chapter,
25 or of the State General Obligation Bond Law, if the Treasurer sells
26 bonds pursuant to this chapter that include a bond counsel opinion
27 to the effect that the interest on the bonds is excluded from gross
28 income for federal tax purposes under designated conditions or is
29 otherwise entitled to any federal tax advantage, the Treasurer may
30 maintain separate accounts for the investment of bond proceeds
31 and for the investment earnings on those proceeds. The Treasurer
32 may use or direct the use of those proceeds or earnings to pay any
33 rebate, penalty, or other payment required under federal law or
34 take any other action with respect to the investment and use of
35 those bond proceeds required or desirable under federal law to
36 maintain the tax-exempt status of those bonds and to obtain any
37 other advantage under federal law on behalf of the funds of this
38 state.

39 101449. (a) For purposes of carrying out this chapter, the
40 Director of Finance may authorize the withdrawal from the General

1 Fund of an amount not to exceed the amount of the unsold bonds,
2 excluding any refunding bonds authorized pursuant to Section
3 101451, less any amount loaned and not yet repaid pursuant to
4 Section 101447 and withdrawn from the General Fund pursuant
5 to this section and not yet returned, that have been authorized by
6 the Higher Education Facilities Finance Committee to be sold for
7 the purpose of carrying out this chapter. Any amounts withdrawn
8 shall be deposited in the 2024 California Community College
9 Capital Outlay Bond Fund consistent with this chapter. Any money
10 made available under this section shall be returned to the General
11 Fund, plus an amount equal to the interest that the money would
12 have earned in the Pooled Money Investment Account, from
13 proceeds received from the sale of bonds for purposes of carrying
14 out this chapter.

15 (b) Any request forwarded to the Legislature and the Department
16 of Finance for funds from this bond issue for expenditure for the
17 purposes described in this chapter by the California Community
18 Colleges shall be accompanied by the five-year capital outlay plan
19 that reflects the needs and priorities of the community college
20 system and is prioritized on a statewide basis. Requests shall
21 include a schedule that prioritizes the seismic retrofitting needed
22 to significantly reduce, in the judgment of the particular college,
23 seismic hazards in buildings identified as high priority by the
24 college.

25 101450. All moneys deposited in the 2024 California
26 Community College Capital Outlay Bond Fund that are derived
27 from premium and accrued interest on bonds sold pursuant to this
28 chapter shall be reserved in the fund and shall be available for
29 transfer to the General Fund as a credit to expenditures for bond
30 interest, except those amounts derived from premium may be
31 reserved and used to pay the cost of the bond issuance before any
32 transfer to the General Fund.

33 101451. The bonds issued and sold pursuant to this chapter
34 may be refunded in accordance with Article 6 (commencing with
35 Section 16780) of Chapter 4 of Part 3 of Division 4 of Title 2 of
36 the Government Code, which is a part of the State General
37 Obligation Bond Law. Approval by the voters of the state for the
38 issuance of the bonds described in this chapter includes the
39 approval of the issuance of any bonds issued to refund any bonds
40 originally issued under this chapter or any previously issued

1 refunding bonds. Any bond refunded with the proceeds of
2 refunding bonds as authorized by this section may be legally
3 defeased to the extent permitted by law in the manner and to the
4 extent set forth in the resolution, as amended from time to time,
5 authorizing that refunded bond.

6 101452. The proceeds from the sale of bonds authorized by
7 this chapter are not “proceeds of taxes” as that term is used in
8 Article XIII B of the California Constitution, and the disbursement
9 of these proceeds is not subject to the limitations imposed by that
10 article.

11
12 *CHAPTER 4. TRANSPARENCY AND ACCOUNTABILITY PROVISIONS*
13

14 101460. (a) (1) The governing board of a school district, the
15 governing board of a community college district, a county
16 superintendent of schools, or the governing body of a charter
17 school shall ensure that an independent performance audit of any
18 project funded in whole or in part from the proceeds of bonds
19 authorized by this part is conducted to ensure that the use of the
20 applicable funds has been reviewed for expenditure consistent
21 with the requirements of all applicable laws.

22 (2) A performance audit conducted for any project funded in
23 whole or in part from the proceeds of bonds authorized by this
24 part and required by any other law, including, but not limited to,
25 an audit conducted pursuant to Section 41024, shall be deemed
26 to satisfy the requirement of paragraph (1).

27 (3) The result of any audit required by this subdivision shall be
28 posted on the internet website of the applicable school district,
29 community college district, county office of education, or charter
30 school.

31 (b) (1) (A) Before approving a project or projects seeking funds
32 from this part, the governing board of a school district, a county
33 board of education, or the governing body of a charter school
34 shall hold at least one public hearing to solicit input from members
35 of the public regarding the project or projects being proposed for
36 submission.

37 (B) Before approving a request for the consideration of a project
38 or projects by the Legislature that would be funded by the proceeds
39 of bonds authorized by this part, the governing board of a
40 community college district shall hold at least one public hearing

1 to solicit input from members of the public regarding the project
2 or projects being requested for consideration.

3 (2) The public hearing required pursuant to paragraph (1) may
4 occur at the same public hearing in which the applicable governing
5 board or body approves the project or projects seeking funds from
6 this part. The public hearing may be conducted as part of a
7 regularly scheduled and publicly noticed hearing of the applicable
8 governing board or body.

9 (3) (A) A school district, county office of education, charter
10 school, or community college district shall post information
11 regarding a project or projects seeking, or requesting, funds from
12 this part that have been approved by the applicable governing
13 board or body on its public internet website.

14 (B) The project information reflected on the internet website
15 pursuant to subparagraph (A) shall include, but not be limited to,
16 the location of the project or projects, estimated project costs, and
17 the estimated timeline for the completion of the project or projects.

18 (4) (A) A school district, county office of education, charter
19 school, or community college district shall retain all financial
20 accounts, documents, and records necessary for the audit required
21 pursuant to subdivision (a).

22 (B) For purposes of this paragraph, a school district, county
23 office of education, charter school, or community college district
24 may maintain records electronically in compliance with any
25 applicable state and federal laws.

26 ~~SEC. 25:~~

27 ~~SEC. 29.~~ The provisions of this act are severable. If any
28 provision of this act or its application is held invalid, that invalidity
29 shall not affect other provisions or applications that can be given
30 effect without the invalid provision or application.

31 ~~SEC. 26:~~

32 ~~SEC. 30.~~ Sections 1 to ~~24~~, 28, inclusive, of this act shall take
33 effect upon the adoption by the voters of the ~~Transitional~~
34 ~~Kindergarten Through Community College Public Education~~
35 ~~Facilities Kindergarten Through Grade 12 Schools and Local~~
36 ~~Community College Public Education Facilities Modernization,~~
37 ~~Repair, and Safety Bond Act of 2024, as set forth in Section 24~~
38 ~~28 of this act.~~

39 ~~SEC. 27.~~ Section 24 of this act shall be submitted to the voters
40 at the ~~_____~~ 2024, statewide ~~_____~~ election.

1 *SEC. 31. This act is an urgency statute necessary for the*
2 *immediate preservation of the public peace, health, or safety within*
3 *the meaning of Article IV of the California Constitution and shall*
4 *go into immediate effect. The facts constituting the necessity are:*
5 *In order to provide for the submission of the Kindergarten*
6 *Through Grade 12 Schools and Local Community College Public*
7 *Education Facilities Modernization, Repair, and Safety Bond Act*
8 *of 2024 at the November 5, 2024, statewide general election to*
9 *provide funding for public education facility projects as soon as*
10 *possible, it is necessary for this act to take effect immediately.*